

Monday, April 6, 2026

mint

| Think Ahead. Think Growth. |

mint primer

India eyes space surveillance. What could play spoiler?

BY SHOUVIK DAS

Amid the raging West Asia war, Indian space firms are seeing keen interest for surveillance services in the region. This signals big potential, but the journey seems complicated, as local and global regulations may pose challenges. *Mint* spells out the nuances.



ISTOCKPHOTO

1 Do private firms offer satellite surveillance?

Yes. After India privatized its space sector in 2020, a crop of startups sprung up with core technologies to enable space-based surveillance services. These include imagery and data from satellites, analytics from ground stations based on satellite data and maps of satellites that help countries monitor who might be tracking them. Alongside satellite-based communications, this surveillance is one of the largest pies of India's space sector, and is likely to bring nearly 20% of its annual revenue. Bengaluru trio Pixxel, Digantara and GalaxEye are forerunners of private satellite surveillance, emulating US giants such as Maxar.

AFP



2 Is Isro also a part of satellite surveillance?

Yes, but not in the commercial sense. In May 2005, government-backed Indian Space Research Organisation (Isro) had launched Cartosat, a constellation of satellites designed to offer 3D data of the Earth's surface that was used for defence as well as other general purposes. However, since 2023, only one Cartosat satellite remains operational, with no update on revamping the programme. Its Earth Observation Satellite (Eos) series offers similar observation data. It is important to note that Isro's satellite data and imagery are purely for India's use, and they aren't generally retailed commercially to other countries.

3 Why does space surveillance matter?

Space surveillance is a key resource in unmanned warfare. Conflicts, such as the ongoing war, show most strikes are driven by advanced remote ballistic missiles and strategic drone strikes via central AI-integrated terminals using surveillance. But not all nations are equipped, and the US is a lopsided leader. India aims to earn \$8 billion from this by 2033.

4 Aren't defence laws a surveillance hurdle?

India's draft space law is still in the making, undergoing consultations. Government is likely to regulate sale and export of space surveillance from the country, but this hasn't been finalized yet. Current satellite communication laws mandate satellite data localization in Indian ground stations. As of now, space startups don't face a clear roadblock from Indian laws that bar them from providing commercial satellite data to other countries. India's push to capture larger global space revenue is a key reason for this.

5 How do global laws intersect in space?

One major challenge that Indian space firms face are the laws in the US, the space surveillance leader. For satellite firms to succeed, they need presence in the US market. But US government contracts mandate compliance with its geospatial shutter control rules, where it can dictate which countries a company can or cannot sell its satellite surveillance data to. So, in the ongoing Iran conflict, non-compliance with US laws may mean losing out on key business from Washington, but winning contracts from West Asia.

QUICK EDIT

Warping of liberty

It has been a bit over a year since America sought 'liberation' from free trade. How did it fare? The macro self-blow of US tariffs was milder than feared. Its economy expanded by 2.2% in 2025 with inflation averaging almost 2.7%. China-US trade decoupled a little as bilateral shipments shrank, but global merchandise flows did not slump, even if their pattern took kaleidoscopic turns. Did 'freedom' from barrier-free trade revive US factories or fill its coffers? Manufacturing didn't budge and a big chunk of its tariff intake must be refunded after the US judiciary struck down 'reciprocal tariffs' this February. The locus of trade instability has shifted east since then, to the Gulf, where Iran wants to play rule-maker, its ambition lit by a war started by Israel and the US. It's yet another sign of how costly the past year's apparent crash in White House respect for the rule of law could prove. If the US hikes its defence budget by 40% to \$1.5 trillion, it would warp its allocation of resources and economic prospects both. Tech advances and military muscle are linked, no doubt. But the source of US power is a far more complex story. If it keeps warping its ideals of liberty, its global influence would weaken.

QUOTE OF THE DAY

Creating infrastructure that caters to the needs of the next hundred years... is not just a goal—it is a mandate.

SURYA KANT
CHIEF JUSTICE OF INDIA



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THE WEEK AHEAD

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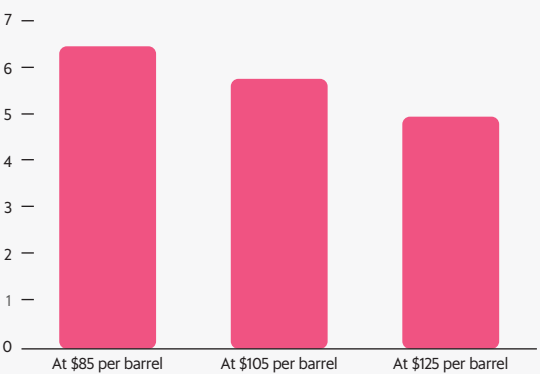
HOW IRAN WAR WILL HIT GROWTH, TRADE

BY HOWINDIALIVES.COM

Amid daily price swings in crude oil prices, based on what the US or Iran says on a given day, global growth prospects for 2026 appear grim. Even if the war ends within days, rebuilding energy infrastructure in West Asia, battered by bombings and drone attacks, will take months if not years. Economies will find alternatives, but those won't be cheap. Meanwhile, elevated fuel prices will affect demand, and therefore demand for foreign goods. Beyond essentials, demand for discretionary items—spending that households can cut back on in difficult times—could take a hit, directly affecting trade across the globe. A look at how the current crisis could impact shipments and growth, and where some silver linings exist.

Oil above \$100 per barrel will severely impact India's GDP growth for 2026-27

Projected GDP growth for 2026-27 (in %) under different India basket crude oil price scenarios



Source: Icra



GLOOMY FORECAST

AT THE start of the year, a range of observers and analysts, including the International Energy Agency (IEA), had predicted a global 'glut' of crude oil in 2026. Expectations were that the supply of crude would far exceed demand, and prices would remain soft through the year. That's all out of the window.

According to credit rating agency Icra, with a baseline forecast of crude at \$85 per barrel (for the specific variants of crude that India is reliant on), projected India GDP growth is expected to drop from 7.5% in 2025-26 to 6.5% in 2026-27.

"However, the ongoing conflict in West Asia has led to a surge in energy prices and impacted availability, which would hurt corporate profitability and could lead to higher inflation, impacting consumer demand," said the agency. Accordingly, the higher crude prices are, the more muted growth is likely to be. At an average price of \$105 per barrel, Icra projects growth at 5.8%. At \$125, around 5%.

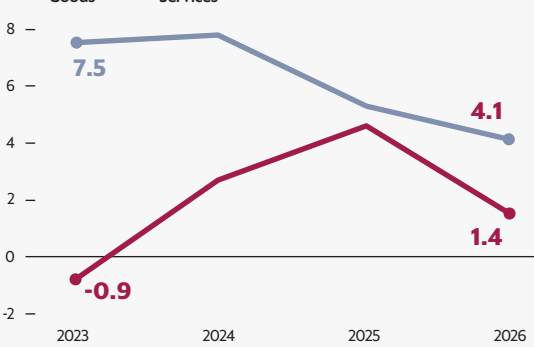
ALL AT SEA

IT'S NOT just India. The world economy and global trade will suffer. An analysis released by the World Trade Organization (WTO) after the war started, said 2025 saw higher growth in global goods trade, despite the imposition of additional tariffs by US President Donald Trump. This was because the actual tariff impact was muted due to the delay in imposing tariffs and exemptions. Further, the surge in demand for so-called 'AI-enabling' goods—such as chips, semiconductors, and data equipment, which accounted for 42% of global trade growth in 2025—offset the impact of tariffs on other sectors.

According to WTO calculations, if crude oil and LNG prices remain high through 2026, it could shave off 0.3 percentage points off the 2026 global GDP growth forecast of 2.8%, and 0.5 percentage points off global trade growth. This would mean that global goods trade (average of imports and exports) would grow around 1.4% in 2026, a sharp drop from 4.6% in 2025.

Global trade is expected to fall in 2026, more so in goods than in services

Year-on-year growth (in %) in world trade



Data for goods trade is the average of exports and imports. Data for 2026 are projections.

Source: Global Trade Outlook and Statistics, World Trade Organization



India's growth in services exports since 2008 has outpaced global growth

Relative movement in services exports, (rebased, 2008 = 100)



Source: World Trade Organization (WTO) statistics on balanced trade in service



ON THE BRIGHT SIDE

THERE IS a silver lining for India, though small: trade in services. The WTO projects a drop in the growth of global exports of so-called commercial services, from 5.3% in 2025 to 4.1% in 2026. Yet, based on past trends, India's share of such services could remain strong, if not increase. In global exports, over the last couple of decades, India's share has stagnated in goods, but increased in services.

Since 2008, while global exports of services expanded about two times, India's services exports increased 3.5 times, having accelerated post-covid.

But the major wildcard is around AI adoption. If it grows dramatically in businesses around the globe, as expected, Indian IT firms are headed for a major phase of uncertainty. While retooling business and marketing strategies towards providing AI-enabled services could offset business losses in more 'traditional' IT services, it's anyone's guess what the impact will be on employment rates and new hiring rates in the industry.

GOING DIGITAL

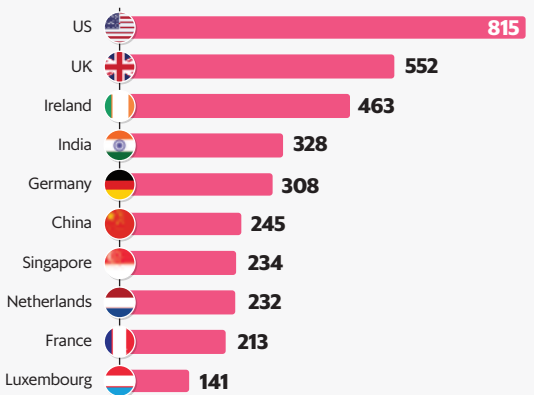
GLOBAL EXPORTS of 'digitally delivered' services grew an estimated 5.7% in 2025. Unlike most other sectors, it's expected to see strong 6.3% growth in 2026 even if energy prices remain high.

According to the WTO, digitally delivered services are those delivered remotely, through cross-border computer networks. These include financial services, computer services, and professional services.

"Among services sectors, transport and travel are the most sensitive to global business cycles, while other commercial services, among them digitally delivered services, are less so," said the WTO report. The US is the biggest exporter of such services. In 2025, it recorded exports of \$815 billion, with a share of 15.5%. India ranks fourth, with exports of \$328 billion and a share of 6.2%. A positive scenario for Indian IT amid the gloom of slowing growth and layoffs is the possibility of a rise in such services going forward. The major uncertainty is how AI uptake will impact delivery of such services.

India is the world's fourth-largest exporter of digitally delivered services

Export of digitally delivered services (in \$ billion), 2025

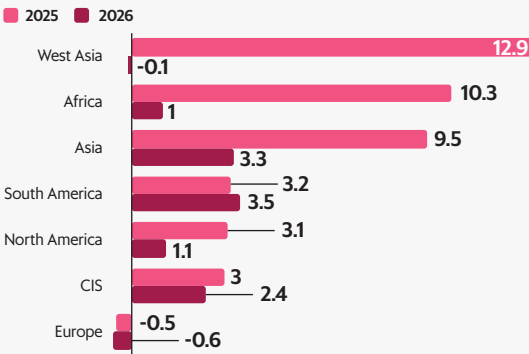


Source: World Trade Organization



Most geographies in the world are expected to see lower export growth in 2026

Year-on-year growth (in %) in exports



CIS: Commonwealth of Independent States, including Russia. Data for 2026 are projections. Geographies are arranged in descending order of value for 2025.

Source: Global Trade Outlook and Statistics, World Trade Organization



PRATEEK KUMAR/MINT

OIL GAINS

ACCORDING TO the WTO, most regions are looking at lower export growth in 2026. The biggest beneficiary of the war has been Russia, which has effectively been 'de-sanctioned' by the West and allowed to sell its oil, that too at elevated prices. Demand patterns are shifting towards oil-exporting countries and away from nations dependent on oil. "Regions where petroleum represents a large fraction of exports (the Middle East, the CIS region, Africa) would see rising import volume growth consistent with increasing export revenues, while net oil-importing regions (Asia, Europe) would see import growth slowing," it said. When the war ends, damage to energy and other infrastructure in West Asia could lead to rise in demand from those countries for equipment and manpower as they look to rebuild. Remittances to countries like India could improve. However, much depends on how the war plays out.

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U.S.-Europe alliance reaches breaking point

►P10

Domestic flows at risk from war: Axis Max Life's Bajaj

►P4

SENSEX 73,319.56 ↗ 0.00

NIFTY 22,713.10 ↗ 0.00

DOLLAR ₹93.11 ↗ ₹0.00

EURO ₹107.32 ↗ ₹0.00

OIL \$106.58 ↓ \$0.04

POUND ₹123.19 ↗ ₹0.00

Rate pause likely as war clouds inflation, growth

MPC may adopt a cautious stance this week amid shifting economic landscape

Subhana Shaikh
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MUMBAI

As the Reserve Bank of India (RBI) heads into its first policy decision of the new financial year on 8 April, a rate pause is widely expected even as a rapidly shifting macro landscape triggered by the West Asia war may force a shift in its outlook.

A *Mint* poll of 10 economists and market participants points to rising inflation risks and a weakening growth outlook, with all expecting the Monetary Policy Committee (MPC) to hold rates while signalling a more cautious policy stance.

In 2025, the RBI had cumulatively cut the repo rate—the rate at which it lends short-term funds to banks—by 125 basis points (bps), with the last cut of 25 bps in December to 5.25%.

“We do expect RBI to hold onto the repo rate and stance,” said Madan Sabnavis, chief economist at Bank of Baroda. The MPC’s stance has remained neutral since June 2025.

“The tone will be cautious,” Sabnavis added. “(Gross Domestic Product or GDP) growth forecast is important as it will anchor

WAR WORRY

Despite the rupee hitting an all-time low on 30 March, most experts believe policy action and currency management will remain separate.

Predictions for repo rate changes in upcoming MPC meeting

	Rate expectation
HDFC Bank	Pause
IDFC FIRST Bank	Pause
Bank of Baroda	Pause
MUFG Global Markets Research	Pause
Barclays	Pause
Kotak Mahindra Bank	Pause
Nirmal Bang Institutional Equities	Pause
State Bank of India	Pause
Crisil	Pause
Icra	Pause

Source: Mint poll

CLOUDY WEATHER

RBI cumulatively cut repo rate by 125 bps, to 5.25% in 2025

MPC projected real GDP growth at 6.9%, 7% in Apr-Jun, Jul-Sep

CPI projection was 4% and 4.2% for Q1 and Q2 of FY27

GOPAKUMAR WARRIER/MINT

market expectations—it could be in the range of 7-7.25%, inflation around 4-4.5%.”

Separately, experts do not expect the RBI to use policy rates to shore up the rupee, which has been under pressure since the war began, as the central bank has already taken a series of external and regulatory measures to manage volatility.

Meanwhile, markets are keenly watching the RBI’s projections on economic growth and inflation.

In its previous policy on 6 February, the MPC had projected real GDP growth for April-June quarter at 6.9% and July-September at 7%, and had deferred the projections for the full year to the April policy because of the new GDP series released in February.

As for inflation, the RBI projected consumer price index (CPI) inflation at 4% and 4.2% for Q1 FY27 and Q2, respectively. CPI inflation rose to 3.21% in February from 2.75% in January.

A 5 April report by SBI Research said the war has triggered “the largest disruption to the global oil market... since 1973”, pushing up imported inflation and weakening the rupee. Brent crude prices have surged to more than \$100 per barrel from \$73.91 on 27 February, a day before the war began.

“Before the war, we were looking at inflation of 4.1%, and now we are expecting it at 4.7% but with an upward bias,” Upasana Bharadwaj, economist at Kotak Mahindra Bank said, adding that the bank’s GDP growth estimate has been revised down from 7% to 6.5% in the new financial year.

HDFC Bank also echoed similar concerns. “We may see an upward revision in the CPI forecast given the impact on prices already visible in March,” Sakshi Gupta, principal economist at HDFC Bank said. However, she expects the RBI to stress that inflation remains within its target band.

Barclays, too, has pegged FY27 GDP growth at 6.8% (down from

TURN TO PAGE 4

Brain drain

TCS, with 13.5% attrition in the December quarter, once had the lowest attrition rate among peers. But the gap has narrowed.

Key financial metrics of TCS versus peers

	Share price change (%) in the past one year*	Headcount change*	FY26 revenue growth projection (%)**
TCS	-31.0	▼ -25,816	-0.5 to -2.4
Cognizant	-18.2	▲ 15,300	4-6.5
Infosys	-14.9	▲ 13,456	3-3.5
HCLTech	-8.3	▲ 2,959	4-4.5

*Since 1 April 2025. **Between 1 April-31 December 2025; Cognizant follows a January-December financial calendar whereas Indian IT firms go by April-March calendar. **For TCS, the figure is according to two brokerages as the company doesn't give revenue guidance

Source: Company financials and brokerage reports

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GOPAKUMAR WARRIER/MINT

TCS grapples with top talent erosion

Jas Bardia & Varun Sood
BENGALURU

Tata Consultancy Services Ltd (TCS) was long revered as one of the safest private-sector employers. But layoffs driven by an artificial intelligence (AI)-powered upheaval and deep cuts to variable payouts have shaken confidence, sparking an unprecedented exodus at the top.

At least 300 of 1,800 senior executives have quit India’s largest software services provider in eight months through 31 March, representing at least 16% churn among senior ranks, the highest since the company went public in 2004, according to three executives familiar with the exits. This category witnessed 4-5% annual churn earlier, they said.

Executives with over two

decades of experience, including principal consultants, vice presidents, and senior vice presidents, have resigned during this period, said the people who didn’t want to be identified.

Mint could not independently determine how many of these 300 executives were among those laid off. TCS had kicked off its largest job cuts, removing 12,000 executives or 2% of its workforce, as AI disrupted India’s \$297-billion technology services outsourcing industry.

TCS has been undergoing significant restructuring and has also started to edge away from its lifetime employment commitment, said Peter Bendor-Samuel, founder of Everest Group, a Texas-based consult-

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DON'T MISS

BLOOMBERG

Reliance Industries Limited

Focus on Sebi's rumour rules as bourses, RIL mum on US refinery

Over three weeks since US President Trump announced an investment by Reliance in a new oil refinery in his country, a lack of clarity from both the company and India's two top stock exchanges exposed gaps in India's rumour verification rules, experts said.

>P6

US rescues crew, Trump vows 'hell' for Iran if Strait stays shut

US special forces rescued an airman stranded in Iran in a high-risk mission deep inside hostile territory while President Donald Trump threatened to rain "hell" on Tehran if it did not reopen the Gulf for oil flows vital to the world economy.

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NOTE TO READERS

The Media Marketing Initiative on Page 3 is the equivalent of a paid-for advertisement and no *Mint* journalist was involved in creating it. Readers would do well to treat it as an advertisement.

CHARGING POINT

Two-wheelers are central to India's green energy push as they use a bulk of the country's petrol.

MINT

Centre revives 'Go Electric' with 2-wheeler firms

Manas Pimpalkhare & Rituraj Baruah

NEW DELHI

The West Asia war-triggered energy supply shocks are pushing India to speed up shift to electric mobility to cut its oil import dependence. Towards this, the Bureau of Energy Efficiency (BEE) started consultations with electric two-wheeler makers on 2 April, as it looks to rev up its five-year-old 'Go Electric' campaign, two people aware of the matter said. The idea is to build a micro-level awareness on electric vehicle (EV) benefits to stir demand.

Two-wheelers are central to India's green energy push as they use a bulk of the country's petrol. They guzzled nearly two-third of the total petrol consumption of 38.8 million tonnes in FY26.

Amid the war uncertainties, Prime Minister Narendra Modi on 27 March exhorted states to push for alternative fuels and electric mobility.

India is world's third largest energy buyer after the US and China. The US-Iran war, going on since over a month, has disrupted shipments via Strait of Hormuz, through which about 30% of India's oil cargoes

move. In this light, BEE, India's apex energy efficiency agency, will lead the effort to leverage and revive India's 'Go Electric' campaign.

This was first launched amid the pandemic-led disruptions in February 2021. The Centre's push to assist states in raising awareness about e-mobility comes in the backdrop of pressure on state-run oil marketing companies (OMCs). Indian Oil Corp Ltd, Bharat Petroleum Corp Ltd and Hindustan Petroleum Corp. Ltd have hiked prices of premium petrol and diesel on global cues, but have kept prices of regular fuels unchanged. Private OMCs—Rosneft-backed Nayara Energy and Shell—that account for about 10% of India's 100,000 petrol pumps have hiked fuel prices.

“There was a meeting on 2 April, wherein two-wheeler industry stakeholders were called by the BEE to discuss the campaign,” said the first person, adding that the meet was attended by Ather Energy, Ola Electric and Hero Moto-Corp, among others.

The meeting did not include carmakers, as these EVs “are sold at a higher price point, making immediate adoption a

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Tempting customers to deposit remains a tough task for lenders

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Getting customers to park their money in deposits remains a struggle for banks, as loan demand continues to race ahead of deposit growth. In the March quarter, HDFC Bank stood out as the sole lender to raise deposits faster than loans, a period when its peers struggled.

Early business updates from 19 banks, excluding small finance banks, showed that only a few managed to shrink the gap between loan and deposit growth. One of them was state-owned Bank of Baroda (BoB), which reported 12% growth in deposits and a 16.2% growth in loans, against 10.3% and 14.7% respectively in the December quarter.

At India's largest private sector lender HDFC Bank, deposits grew 14.4%, while loans expanded at 12% in Q4 of FY26,

Money matters

Deposit-raising is a problem with investors drawn to equity markets.

■ Q3 ■ Q4 Year-on-year deposit growth (in %) in FY26

Bank	Q3 (%)	Q4 (%)
IDFC First Bank	23	18
Kotak Mahindra Bank	15	15
HDFC Bank	12	16
IDBI Bank	10	10
Bank of Baroda	10	12
Bandhan Bank	10	10
Punjab National Bank	10	10
IndusInd Bank	10	10

Source: Stock exchange disclosures

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SATISH KUMAR/MINT

as against 11.6% and 11.9% in the December quarter. HDFC Bank was an outlier in this respect, and analysts said these numbers would assuage investor concerns raised by the abrupt exit of its part-time chairman Atanu Chakraborty.

“The provisional numbers would be reassuring for those investors who assess the bank’s performance on any of these metrics: headline deposit

growth—given the clear improvement from last quarter (on a YoY basis), and loan deposit ratio (LDR)—the improvement in deposit growth has translated to an improvement in LDR too, and it has dropped by over 400 basis points (bps),” analysts at Sanford C Bernstein (India) said in a note to clients on 4 April.

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Builders reel as workers pack up amid gas crisis

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India’s real estate sector is facing a shortage of skilled workers and rising labour costs, as soaring cooking gas prices push migrant workers back home, even as larger developers appear better placed to manage the disruption.

Developers across Mumbai, Delhi-NCR and Pune said the spike in liquefied petroleum gas (LPG) prices, along with supply constraints linked to the West Asia conflict, has raised the cost of living for migrant workers, triggering a dip in labour availability across key property markets.

Labour costs have already risen 5-15% due to the demand-supply mismatch, developers estimated, with the long-term impact likely to be more severe.

“We are witnessing a real and immediate labour disrup-

Labour costs have already risen 5-15%.

AFP

tion, particularly over March and early April,” said Vishal Agarwal, joint managing director at Pune-based Krisala Developers, adding that many migrant workers, especially bachelors and contract labour, “are finding it difficult to sustain themselves in cities due to lack of access to affordable cooking fuel and food”.

“Larger, organized projects with in-house facilities have been relatively more stable, but the broader ecosystem is

certainly under pressure. It is, in many ways, reminiscent of a softer version of the reverse migration we saw during the pandemic,” Agarwal said.

Rohit Gupta, group CEO of Pune-based Mantra Group, said while the broader real estate industry is certainly feeling the pinch of this labour shortage, his company has been able to cushion the impact to a large extent.

“By proactively focusing on on-site worker welfare, ensuring strong contractor relationships, we have managed to retain a significant portion of our workforce, though we remain vigilant as the situation evolves,” Gupta said.

The concerns over migrant workers have emerged during a time when India’s real estate sector is witnessing a construction boom, as housing, commercial office and hospitality industries have been on

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Bars, eateries whip up IPL menus while LPG disruption bites

Varuni Khosla & Vaeshnavi Kasthuril

NEW DELHI/BENGALURU

India’s restaurants, bars and quick-service chains are seeing a much-needed rebound after the Indian Premier League (IPL) season 19 kicked off on 28 March, with match screenings, group dining and delivery driving sales over the weekends.

After a soft start to March due to the LPG supply crunch caused by the West Asia war, the tournament has brought some respite to eateries. For hospitality businesses, the 84-match calendar overlaps with the summer months, offering a sustained consump-

tion trigger, turning cricket fandom into higher footfall and bigger orders.

The industry expects 5-10% growth on normal match days, and big spikes on high-profile games and weekends.

“More than anything, the cricket extravaganza is about community and people coming together. In uncertain times, these shared experiences become more meaningful,” said Rahul Singh, founder of The Beer Café, owned by BTB Marketing Pvt. Ltd. The Beer Café, outlets have been converted into “mini stadiums” and the chain is using the tournament to drive group visits and higher average spends across its 50-plus locations.

Singh said the company did

Executives at beer pubs said that summer is a natural draw for consumers, and the IPL helps create additional demand.

MINT

“blockbuster business” on the opening match weekend, without giving specific details. “April and May could bring in 25% more revenue at least,” he added.

Besides live screenings, several restaurants have made themed menus, beer deals and delivery offers. Executives at beer pubs said that summer is a natural draw for consumers,

and the IPL helps create additional demand.

Mumbai-based Impresario Entertainment and Hospitality Private Ltd., which runs Social and Smoke House Deli among others has a similar ‘Doosra Stadium’ initiative at its Social bars. “We’ve seen a strong start, with a clear uptick in footfalls and group dining, especially over weekends. ‘Doosra Stadium’ has been instrumental in bringing fans together,” said Divya Aggarwal, chief growth officer, while not defining the exact growth expected.

The opening weekend of IPL season 19 had two high-scoring games, reaching over 515 million viewers across TV and digital, 26% higher than

last season, according to media & entertainment company Jio-Star, which is airing the matches. Both matches ended in dramatic chases, prompting fans to seek live-viewing experiences outside the home.

In Bengaluru, Handcrafted Restaurants Pvt. Ltd, which runs top-end bars and restaurants like Helen’s Place and Roxie, said IPL screenings drove a 10-15% jump in footfall over the past 10 days. Managing director Pravesh Pandey said match days push customers toward resto-bars and outdoor venues. The company has added more projectors and speakers and is running promotions like free beer for wins,

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STRAIGHT
FORWARD
SHASHI SHEKHAR

Respond to this column at
feedback@livemint.com

INDIA'S ASSEMBLY POLLS A TEST OF OLD, NEW POLITICS

India will be fighting a war of ideas this month-end. Upcoming assembly elections in five states aren't mere jostling for power between political parties but a duel between the age-old principles and the emerging new political thought.

Let's begin with Tamil Nadu.

Since 1967, Tamil Nadu is the only state where the Congress failed to regain political control. Currently it's in coalition with the Stalin led DMK. Even after a long partnership, both the parties constantly bicker over seat and power sharing. The Congress wanted more seats and power sharing. Stalin was in no mood for power sharing with Congress, though the party wrested a few more seats from him.

Even the BJP, trying very hard for years to have a footprint in the state, was trying to tango with Tamil superstar Vijay's Tamil-aga Vettri Kazhagam (TVK). But Vijay decided to go it alone. Will he be a game-changer? If Vijay ends up being a vote-splitter then the opposition's plan can go awry. Stalin would benefit in such a scenario.

Stalin is facing anti-incumbency. He's being cornered on the issues of law and order and corruption. Even within his party resentment is brewing since he made his son Udhayanidhi the deputy chief minister. However, Stalin has shown political astuteness and strength by winning over major Thevar leaders like O Panneerselvam, Maitreyan, Anwar Raja and many others.

After Jayalalithaa's demise, the AIADMK has been trying hard to regain its lost ground under the leadership of Edappadi Palaniswami. The BJP is with them. But the Sasikala faction is trying to play spoilsport for the fledgling partnership. Still the coalition is in the fray with gusto. The BJP can offer the coalition the same strength that the Congress provides to the DMK. During the last elections, despite a decline, the Congress cornered 4.3% votes. The BJP was at 2.6% but was instrumental in winning four seats. In a tight contest such incremental support matters.

In West Bengal the 15-year-old Mamata Banerjee government like the BJP makes every electoral contest a matter of life and death. Her Lakshmir Bhandar Yojana has turned a large section of women into her captive vote bank.

During the last elections when the BJP raised the Bangladeshi infiltrator bogey these women stood as a shield to save her. Out of the 294 assembly seats, women can sway the results in 70. But TMC is bogged down by internal tussle, corruption and anti-incumbency.

The Congress is fighting alone. The Left parties are also working hard to regain their lost glory. It would be interesting to see if both can achieve respectable results.

If Tamil Nadu is a test of Dravidian politics, the Bengal elections will decide the fate of Ma, Mati, Manush politics.

In Kerala, the Left is doing everything to save its last bastion. Even the Congress is hopeful as Rahul Gandhi represented it in Lok Sabha and now Priyanka does the needful. Party's most powerful general secretary KC Venugopal also belongs to Kerala. The BJP is upbeat too after municipal corporation elections. A tussle between Right, Left and Centre makes it an interesting contest.

In Assam the BJP poached Himant Biswa Sarma from the Congress. It was an extremely successful experiment. Himanta is the most popular leader from North East India. He's strong willed and has assumed a strident Hindutva posture since joining the BJP and openly targets Muslims. Here, out of 126 seats, women decide one third of them and they are BJP's committed supporters. Recently, Himanta made former Congress state president Bhupen Bora and Nowgaon MP Pradyut Bordoloi join the BJP, creating another challenge for the Congress.

Assam's 40% voters are Muslim. Badruddin Ajmal and his All India United Democratic Front's politics survive on this vote bank. Ajmal and Asaduddin Owaisi can upset their appealcart.

I haven't discussed the Union Territory of Puducherry as it's an extension of Tamil Nadu and the life and death contest is still not visible there.

A slight divergence in the outcome of these political contests will fundamentally alter the direction and the state of politics of the entire nation. It's not an electoral battle, it's a battle royale between two political narratives.

Shashi Shekhar is editor-in-chief, Hindustan. Views are personal.

CII seeks support as war-led supply chain crisis deepens

Industry body DG says situation evolving, and energy, trade channels remain under pressure

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Supply-side pressures arising from the West Asia war continue to persist, and businesses need targeted liquidity support, credit facilitation, trade channel management and foreign exchange stability, it said in a statement outlining 20 steps required to address the spillover effects of the war on the Indian economy.

Chandrajit Banerjee, director general (DG), CII, said in the statement that the government's and the Reserve Bank of India's (RBI) early measures have helped stabilize sentiment, underscoring policy responsiveness in the face of external shocks.

But the situation continues to evolve, and energy, logistics, and trade channels remain under pressure. Several sectors continue to face operational and financial stress, particularly micro, small and medium enterprises (MSMEs), exporters and energy-intensive industries, he added in the statement.

The lobby group pitched for a credit guarantee scheme as part of a list of



The CII has pitched for a three-month moratorium and restructuring window for MSMEs, especially exporters and ancillary units linked to export supply chains.

measures it has prepared for the government's immediate, short-term and long-term consideration.

Under the scheme, collateral-free working capital can be extended to affected businesses through government-backed guarantees, particularly to MSMEs, exporters and gas-dependent sectors, the CII said.

The CII also pitched for a three-month moratorium and restructuring window for MSMEs, especially exporters and ancillary units linked to export supply chains.

This may include calibrated flexibil-

ity in asset classification rules, with a defined deferment before special mention account (SMA) and non-performing asset (NPA) recognition is triggered, limited to sectors where disruption is demonstrable, the CII said.

The Reserve Bank of India could institute a special refinance window for small businesses and other affected sectors, complemented by targeted liquidity support, enabling banks and non-banking financial companies (NBFCs) to continue extending credit at reasonable cost to productive sectors, the statement said.

"The ministry of finance in conjunction with RBI could provide immediate contractual and operational relief to industry, especially MSMEs, by extending delivery timelines for central and state public sector unit contracts by 3-4 months without invoking liquidated damages clauses, reduce performance bank guarantee and security deposit requirements to minimal levels to ease liquidity constraints," the industry body proposed.

In addition, temporary relief in electricity tariffs may also be offered to help manage rising input costs during the disruption period, it added.

The CII's proposals are significant because many large businesses depend on MSMEs for raw materials and other inputs, including goods and services, for their final output. Stress among small businesses could impact larger factories as well.

India has a large MSME base, which accounts for about 36% of the country's manufacturing output and 45% of exports, according to the MSME ministry. The sector is also the second-largest employer after agriculture.

The Confederation of Indian Industry also sought a cut in import duties on energy inputs to mitigate the cascading cost impacts of the supply chain disruption. "This could include temporary waiver of the 2.5% customs duty on LNG imports," it said.

Govt steps up LPG supply, urges calm

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The sale of small 5-kg LPG cylinders—available across the counter at LPG distributorships on showing valid ID proofs—has been stepped up, with about 660,000 bottles sold since 23 March as the government ramps up supplies to meet demand.

Unlike the subsidised domestic 14.2-kg cylinders, the 5 kg bottles, called FTL cylinders, are priced at market rates and do not require any address proof for procurement from a nearby LPG distributorship.

"Yesterday (April 4), more than 90,000, 5Kg FTL cylinders were sold. Since March 23, 2026, about 6.6 lakh, 5 Kg FTL cylinders have been sold," the oil ministry said in a statement.

It said there are no reports of shortages at LPG distributor points, with more than 5.1 million domestic cylinders delivered during the day and online bookings accounting for 95% of total demand.

Authorities have intensified action against hoarding and black marketing, seizing over 50,000 cylinders since March and issuing more than 1,400 show-cause notices to LPG distributors, with 36 dealerships suspended so far. The government has prioritized supplies of domestic LPG and PNG for households, hospitals and educational institutions.

OMCs to cut refinery payouts to curb losses

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In a first since fuel price deregulation, Indian state-run oil marketing companies will pay refineries a discounted price for petrol, diesel, aviation turbine fuel (ATF) and kerosene to limit mounting losses from a self-imposed freeze on retail fuel prices, sources said.

The oil marketing companies (OMCs) on 26 March fixed rates for petroleum products that are at a discount of up to ₹60 per litre to their imported cost, two people with direct knowledge of the matter said.

The discounted rates, which are applicable with effect from 16 March, will hit standalone refiners such as MRPL, CPCL and HMEL the most.

International oil prices have risen from about \$70 per barrel before the West Asia war to over \$100, but retail petrol and diesel prices in India have

remained unchanged, forcing OMCs to absorb the impact.

With no immediate end to the conflict in sight, OMCs have decided to fix a discount on the refinery transfer price (RTP)—the internal price at which refineries sell fuel to marketing arms—to effectively pay refineries less than the import-parity cost of the fuels like petrol and diesel.

For the second half of March, a discount of ₹22,342 per kilolitre (₹22.34 per litre) was fixed on diesel to bring down the RTP of ₹85,349 per kl to ₹63,007 per kl.

For the first fortnight of April, the discount on diesel has been fixed at ₹60,239 per kl to lower RTP from ₹146,243 per kl to ₹86,004 per kl. On ATF, the RTP has been slashed to ₹76,923 per kl from ₹127,486 per kl after considering a discount of ₹50,564 per kl. The RTP for kerosene after a discount of Rs 46,311 per kl has been fixed at Rs 77,534 per kl from Rs 123,845 per kl, they said.

The discounted rates, applicable from 16 March, will hit standalone refiners such as MRPL, CPCL and HMEL the most

Food prices stable despite West Asia war

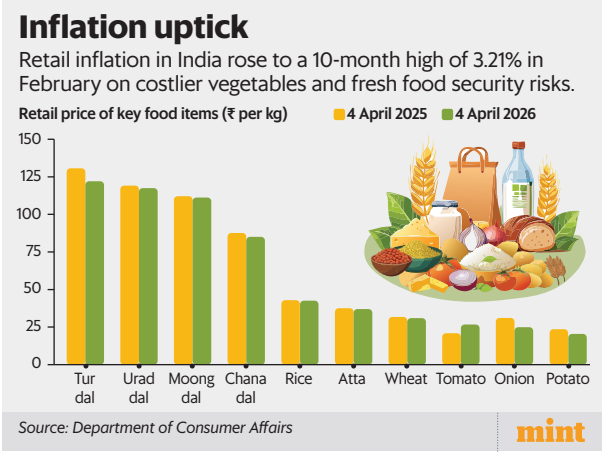
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The government's measures have kept prices of essential commodities in India stable, with staples such as rice, wheat, atta and pulses showing a decline over the year and month prior, according to consumer affairs secretary Nidhi Khare.

The government is actively monitoring prices of 40 essential commodities daily amid concerns over imported inflation, Khare said in an interview. Timely interventions, including buffer stock releases and supply-side steps, prevented sharp spikes despite external shocks, she said.

Cereal prices have stayed flat year-on-year, according to the consumer affairs ministry's data as of 4 April. Rice stood at ₹42.61 per kg compared with ₹42.89 a year ago, while wheat declined to ₹31 per kg from ₹31.76. Wheat flour or atta eased to ₹36.98 per kg from ₹37.6 a year earlier, indicating adequate domestic availability and stable procurement.

Pulses, a major driver of food inflation in previous years, have shown a broad-based soften-



ing. Tur (arhar) dal declined to ₹122.05 per kg from ₹130.63 a year earlier. Gram (channa) dal to ₹85.04 from ₹87.59, while urad dal declined to ₹117.44 from ₹119.18. Moong dal also saw a marginal correction, while masoor dal remained largely stable.

Cereals account for around 9% of the Consumer Price Index basket, while pulses have a weight of about 2-3%.

Retail inflation in India rose to a 10-month high of 3.21% in

February on costlier vegetables and fresh food security risks. This marks an increase from 2.13% in January under the new 2024-based series.

"The reason that I see for the price correction is the disruption in exports of commodities such as rice, wheat, wheat products and vegetables. While this is positive from a consumer and inflation perspective, we also need to look at it from the farmers' point of view," said Rakesh Arrawatia, professor at the

Institute of Rural Management Anand, Gujarat, and dean, School of Cooperative Banking and Finance. "The government should ensure that farmers are getting better prices for their produce."

On 24 March, Prime Minister Narendra Modi had said in Lok Sabha that the Centre has constituted seven empowered groups of officials and experts to assess the impact of the war in West Asia and take remedial measures across sectors.

The empowered groups have been tasked with examining strategic issues, including prices and supply of essential commodities, transport and logistics, defence and external affairs, and economy, finance, and supply chain-related matters, among others. The consumer affairs secretary is leading the empowered group on prices and supply of essential commodities.

Vegetable prices, which also contribute around 6% to the CPI, have moderated sharply over a year earlier as of 4 April. Onion prices dropped to ₹24.99 per kg from ₹31.1, while potato fell to ₹20.42 from ₹23.59. Tomato prices, however, increased to ₹26.76 per kg from ₹20.89.

Trump risks confidence in US role as guardian of global shipping

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Of all the things Donald Trump has done to disrupt global commerce, from levying punitive tariffs to tearing up trade deals, few would be as consequential as withdrawing and leaving the rest of the world to secure the Persian Gulf.

The move, which the US president has repeatedly threatened as his war with Iran drags on, would represent a break with decades of US policy keeping open the sea lanes that carry four-fifths of the \$35 trillion global goods trade.

Even the threat of reducing security for the Strait of Hormuz risks shaking confidence in a pillar of the world economy, as well as American wealth and power.

Traffic through the strait has dropped to a handful of ships daily from about 135 before the war, with Iran allowing passage mainly for its own exports. Those conditions are putting at risk roughly one-fifth of global oil flows, driving up prices and injecting volatility into energy markets.

Since World War II, the US has used its navy to deter attacks, counter piracy and challenge attempts by states to



Traffic through the Strait of Hormuz has dropped to a handful of ships daily from about 135 before the war.

restrict lawful passage across the oceans that cover more than 70% of the Earth's surface. Those guarantees have

through the strait is a larger principle at stake in this conflict," said retired Vice Admiral John W. Miller, former commander of US Fifth Fleet in Bahrain. "Failure to ensure freedom of navigation in Hormuz puts global freedom of navigation everywhere at risk."

European and Asian officials, who spoke to Bloomberg on the condition of anonymity to discuss sensitive matters, said the conflict has eroded faith in the US role as protector of the high seas, raising concerns about energy prices, shifting security calculations around key choke points and

growing doubts about Washington's ability to manage the consequences of the war.

And it's more than just Hormuz. The Trump administration's campaign to blow up speed boats suspected of ferrying drugs across the Caribbean and doubts about whether the Navy made sufficient efforts to save crew members of an Iranian warship it sank off the coast of Sri Lanka have raised questions about the US's commitment to the rules that protect all sailors at sea.

A Pentagon spokesperson didn't answer a question about whether the US was still committed to ensuring freedom of

navigation, saying only that the military "continues to provide the president options" regarding the strait. The White House didn't respond to a request for comment.

In the absence of a US plan, smaller, trade-dependent nations have sought to build consensus for a multinational response. The UAE on Tuesday urged the United Nations to authorize a range of measures, including force, to reopen the strait. The UK on Thursday convened representatives from more than 40 American allies to discuss non-military options to convince Tehran to restore trade.

CORRECTIONS AND CLARIFICATIONS

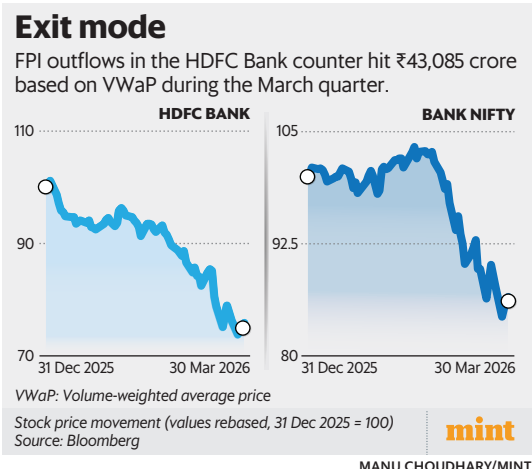
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S&P BSE Sensex	Nifty 50	Nifty 500	Nifty Next 50	Nifty 100	S&P BSE Mid-cap	S&P BSE Small Cap
CLOSE 73,319.55	CLOSE 22,713.10	CLOSE 20,938.35	CLOSE 61,957.60	CLOSE 23,304.20	CLOSE 14,567.37	CLOSE 5,843.57
1-WEEK CHANGE (%) -0.36	1-WEEK CHANGE (%) -0.47	1-WEEK CHANGE (%) -0.39	1-WEEK CHANGE (%) -0.14	1-WEEK CHANGE (%) -0.41	1-WEEK CHANGE (%) -0.56	1-WEEK CHANGE (%) 0.83
1-MONTH CHANGE (%) -8.62	1-MONTH CHANGE (%) -8.66	1-MONTH CHANGE (%) -8.31	1-MONTH CHANGE (%) -9.75	1-MONTH CHANGE (%) -8.84	1-MONTH CHANGE (%) -7.50	1-MONTH CHANGE (%) -5.33
3-MONTH CHANGE (%) -14.51	3-MONTH CHANGE (%) -13.73	3-MONTH CHANGE (%) -13.12	3-MONTH CHANGE (%) -12.01	3-MONTH CHANGE (%) -13.45	3-MONTH CHANGE (%) -12.46	3-MONTH CHANGE (%) -13.01
6-MONTH CHANGE (%) -9.46	6-MONTH CHANGE (%) -8.55	6-MONTH CHANGE (%) -8.68	6-MONTH CHANGE (%) -9.00	6-MONTH CHANGE (%) -8.62	6-MONTH CHANGE (%) -8.19	6-MONTH CHANGE (%) -13.48
1-YEAR CHANGE (%) -12.10	1-YEAR CHANGE (%) -10.77	1-YEAR CHANGE (%) -11.08	1-YEAR CHANGE (%) -9.85	1-YEAR CHANGE (%) -10.60	1-YEAR CHANGE (%) -10.36	1-YEAR CHANGE (%) -17.16



HDFC accounts for 30% of FPI outflows in Q4

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HDFC Bank alone accounted for over a fourth of the ₹1.41 trillion that foreign investors pulled out of India's secondary market in the March quarter, as the impact of the Iran war and the abrupt resignation of its part-time chairman haunted the country's largest private sector bank.

During the quarter, foreign portfolio investor (FPI) stake in HDFC Bank fell by 3.62 percentage points from the December quarter to 44.05%. FPIs sold 479.45 million shares during this period, BSE data showed.

Based on HDFC Bank's ₹898.64 volume-weighted average price (VWaP) per share during the quarter, the total value of the cash stake sold during the quarter stands at ₹43,085 crore, according to Bloomberg data.

VWaP is the average price at which a security trades in a session, adjusted for volume. For instance, if you buy 20 shares of Company X for ₹100, 15 shares for ₹102 and 10 shares for ₹103, the VWaP is ₹101.33. It is different from the simple average of ₹101.66, the mean price over the day.

A share trading above its VWaP is considered a bullish indicator, and below it is seen as bearish.

Going by the average VWaP in HDFC Bank during the March quarter, the value of stake pared by FPIs—₹43,085 crore—works out to 30% of FPIs' overall

net cash market sales of ₹1.41 trillion in Q4.

The impact of the 18 March exit of part-time chairman Atanu Chakraborty added to the downside pressure. While the share shed 26% during the quarter to end at ₹731.55 on the NSE, the bulk of the fall—17.6%—came in March, coinciding with the war and Chakraborty's exit citing "certain happenings and practices" not being "in congruence" with his "personal values and ethics."

In comparison, the 14-stock Bank Nifty sectoral index shed 15.62% to 50275.35 during the quarter and 16.94% in the last month alone.

However, on 27 March, JP Morgan upgraded the bank to overweight from neutral, citing favourable risk-reward, pick-up in loan growth and improving deposit mobilization, among other factors.

Independent market analyst Ambareesh Baliga agreed: "FPIs in general have been selling EMs (emerging markets) for the safety of US dollar assets since the outbreak of the war. The high liquidity on the HDFC Bank counter, which is an FPI-heavy bank, induced heavy foreign investor outflows on account of the macro headwinds and the resignation episode. That said, the valuation now looks attractive from a long-term perspective and investors holding the stock could consider bottom-fishing at or around current levels."

For an extended version, go to livemint.com

On 27 March, JP Morgan upgraded HDFC Bank to overweight from neutral, citing favourable risk-reward

IT braces for tepid Q4 earnings

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The March quarter (Q4FY26) results of the information technology (IT) sector are likely to be uneventful. Tata Consultancy Services (TCS) will kick-start the season on 9 April.

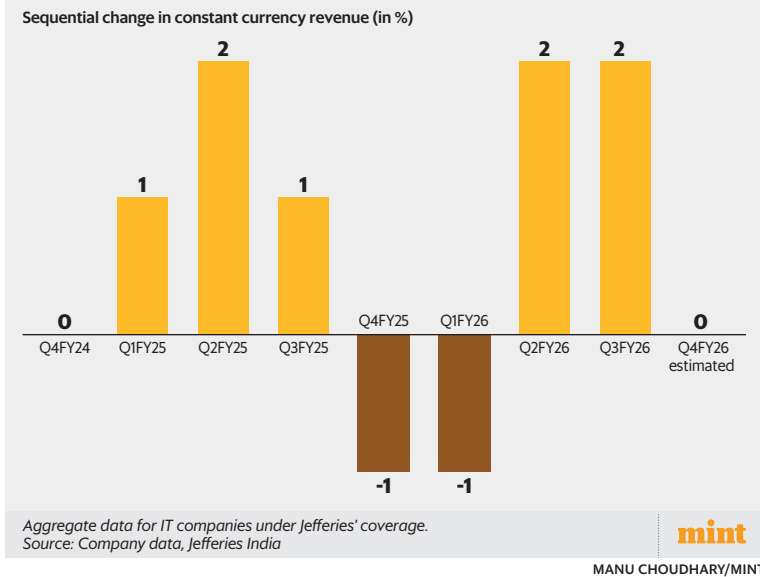
Demand is constrained by client caution on discretionary technology spending. There are uncertainties around artificial intelligence (AI) adoption, changing pricing scenario, and potential deflationary impact on IT budgets.

"Our recent interactions suggest that overall client budgets have not increased materially and discretionary spending remains at bay," said a Jefferies India report on 26 March. While generative AI represents a structural concern, a prolonged West Asia war would begin weighing on demand assumptions soon. The Street's struggle with the terminal growth rate has clouded FY27 revenue growth visibility.

Jefferies expects aggregate quarter-on-quarter constant currency revenue growth for its coverage to be flat in Q4, with LTIMindtree and TCS among large IT firms and Inventurus Knowledge Solutions and Mphasis among mid-

Muted expectations

Indian IT firms would put up a weak revenue show in Q4FY26 amid AI-led uncertainties and West Asia war.



sized IT firms growing faster. For Infosys and HCL Technologies, vertical-specific seasonality can weigh on performance. Tier-II and small-cap companies would continue to beat tier-I peers on revenue growth.

Q4 deal wins would be steady, in line with recent performance. The pipeline is supported by cost optimization and vendor consolidation. Yet, some IT firms have indicated a delay in the ramp-up of previously signed large

deals; there are early signs of slower deal closures, especially in shorter-duration projects, said Emkay Global Financial Services. Delay in deal closures means slower revenue conversion.

Banking financial services and insurance (BFSI) continues to show positive momentum. While there is some recovery in communication, manufacturing (especially automobile) remains weak. Growth trends in hi-tech, retail, and healthcare, are expected to be mixed. The war is directly or indirectly impacting industries related to travel, transport, logistics and energy. Tech Mahindra and LTIMindtree have small exposure to this region and could face some impact due to delay in revenue billing.

A silver lining is the recent sharp depreciation in the Indian rupee against the US dollar. Kotak Institutional Equities expects 40-320 basis points year-on-year increase in Ebit (earnings before interest and tax) margin among top six IT companies. Sequentially, it expects stable to increasing margins.

Kotak noted that large companies

have marginal hedging and will result in immediate translation of rupee depreciation into earnings. However, LTIMindtree, L&T Technology Services, Coforge, Persistent Systems and Hexaware Technologies have hedges varying from 12 months to three years and will report hedge losses, said Kotak. Margin performance will also be influenced by wage hikes, higher visa costs and business-related seasonality.

The Indian IT sector has seen a sharp pick-up in M&A activity in FY26. Deal-making has been focused on adding specific capabilities. As organic revenue growth avenues are muted, companies are pursuing inorganic growth by filling portfolio gaps through M&As.

Still, investor mood is pessimistic. The Nifty IT index has fallen 20% so far in 2026, emerging as the second worst sectoral performer after Nifty Realty. It is trading at a one-year forward price-to-earnings of 17.8x, around 16% lower than 10-year average of 21.2x, HDFC Securities said on 2 April. Looming fears of de-rating don't make lower valuations compelling.

CAUTIOUS MOVE

DEMAND remains constrained by client caution on discretionary technology spending

BANKING financial services and insurance continues to show positive momentum

Mark to Market writers do not hold positions in the companies discussed here unless otherwise informed

Rate pause likely this week as war clouds outlook on inflation, growth

FROM PAGE 1

7.6% in FY26), and inflation at 4% in FY27, from an estimated 2.1% in FY26, warning that a prolonged oil shock could push inflation above target and slow growth further.

A key theme this time is the RBI's proactive defence of the rupee, even as market participants do not expect fresh measures in the policy itself.

Recent steps—from limits on banks' currency positions to curbs in the derivatives market—signal an aggressive approach, tightening offshore rupee regulations to curb speculation and limit spillovers to the onshore market.

Despite the rupee hitting an all-time low of 95.1250 per dollar on 30 March, most experts believe policy action and currency management will remain separate.

"I don't think policy will have measures for currency. Those are done on how the central bank views volatility," Sabnavis said.

Bharadwaj added that RBI has already taken several measures to curb speculative activity against the rupee, "and any of the measures don't have to be



Expectations are that the RBI will continue with regulatory and unconventional tools rather than rate hikes to defend the rupee. MINT

linked to policy".

Expectations are that the RBI will continue with regulatory and unconventional tools rather than rate hikes to defend the currency, Tanay Dalal, senior vice president II – business & economic research at Axis Bank said.

Despite intervention, pressure on the rupee is expected to persist. Barclays estimates USD/INR could weaken toward 96.8 by December 2026, reflecting a widening current account deficit and global headwinds.

In the bond market, yields are likely to remain elevated as risk premium rise. MUFG expects India's 10-year yield to stay

biased further above 7% amid fiscal concerns and global factors.

Liquidity management will also be key, with the RBI likely to rely on tools such as VRR (variable rate repo) and VRRR (variable rate reverse repo) to keep conditions broadly neutral while managing borrowing pressures.

Overall, the April policy is shaping up to be less about action and more about signaling in an increasingly uncertain global environment.

"The uncertainty around the impact of the current conflict could keep the RBI in a wait-and-watch mode," HDFC Bank's Gupta said.

FROM PAGE 1

a high.

In high-growth markets, where housing demand is strong, the imbalance between demand and available skilled labour is even more pronounced.

"There has been a noticeable increase in labour costs. Skilled labour, in particular, has seen an escalation of approximately 8-10%, driven by supply constraints, higher cost of living, and intermittent disruptions in construction activity," said Niranjana Hiranandani, chairman of National Real Estate Development Council (Naredco), and founder and chairman of Mumbai-based Hiranandani Communities.

Hiranandani added supply-side disruptions in key construction inputs such as fuel, tiles, and allied materials have impacted site-level activity.

"Lack of sufficient manpower may delay construction and completion of projects in the long run, as this is the most important pillar of real estate," said Sachin Bhandari, executive director and CEO of Pune-headquartered VTP Realty,



In high-growth markets, where housing demand is strong, the demand-labour imbalance is even more pronounced. ISTOCKPHOTO

even as he hoped the geopolitical situation would normalise and the crisis can be contained in good time.

Real estate firms typically procure manpower for their projects from contractors. In the current scenario, the contractors are currently forced to retain labour at higher costs, developers told Mint.

Amit Mangain, co-founder and director of Gurugram-headquartered Yugen Infra, said while labourers are moving back to their hometowns due to a spike in the cost of living, contractor networks and

other labour supply mediums can manage the workforce requirements within the industry.

While the impact is evident, it may vary depending on the size of the developer and location, among other things. Hiranandani said the labour shortages can lead to execution delays, cost escalations, and pressure on project timelines.

"While organized developers are mitigating this through better planning and mechanization, the broader impact on delivery schedules across the sector is evident," he added.

'Domestic flows could be at risk from protracted war in West Asia'

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Sustained oil prices above \$100 a barrel due to a protracted West Asia war, coupled with supply disruptions, could impact corporate earnings and even domestic flows, which have so far absorbed foreign portfolio investor outflows, according to Sachin Bajaj, executive vice-president & chief investment officer at Axis Max Life Insurance.

However, a quick resolution, without further damage to energy infrastructure in the region, could result in a V-shaped recovery in markets, said Bajaj.

Markets have corrected since the war began on 28 February. What is your assessment from hereon?

Equity markets, both global and domestic, have corrected

due to the ongoing war, with the Nifty50 down by over 10% in the past month, a similar story for mid- and small-cap indices. Many of the high-beta names have corrected meaningfully. Over a month into the conflict, commodity prices, especially crude and its derivatives, have seen a sharp rise. As a result, many sectors that are directly exposed have started to be impacted, and there is a growing risk of second- and third-order impacts on corporate earnings for FY27. From hereon, I expect prolonged volatility with further downside risks if oil stays above \$100-\$110 and the Strait of Hormuz disruptions persist. But any de-escalation could spark a sharp V-shaped rebound in the markets.

INTERVIEW

hereon, I expect prolonged volatility with further downside risks if oil stays above \$100-\$110 and the Strait of Hormuz disruptions persist. But any de-escalation could spark a sharp V-shaped rebound in the markets.

Small-caps have been in corrective mode since their highs in July last year. Where do you see prospects in mid-, small- or

large-caps from here?

Since last July, the small-cap index has corrected around 16-17%, significantly outpacing the 8-10% decline in the large-cap index. The pullback was driven by overstretched valuations for small- and mid-cap stocks relative to earnings growth prospects and their own history. This de-rating has been further accelerated by the war since February. While the valuations for both small- and large-caps have moderated, there is significant uncertainty due to the ongoing war. In the current backdrop, large-caps will act as defensives, while mid- and small-caps present a compelling opportunity as de-escalation takes place.

Even prior to the war, the AI trade was creating uncertainty. What would be the impact on crude and Indian markets if: a) the war wraps up without further attrition to energy facilities in Iran and the



Gulf; and b) the war prolongs with further attrition?

The ongoing war is a significant headwind for India from a macroeconomic perspective due to our reliance on energy imports. A resolution and ceasefire without further damage to energy infrastructure would be a positive development for our

markets and the economy. While crude prices may take time to return to pre-war levels of \$60-\$65 a barrel, even a drop to around \$75 would be a positive signal. In this scenario, I anticipate the rupee will strengthen and equity markets will rebound sharply as risks to corporate earnings growth and foreign portfolio investors

(FPIs) subside.

Conversely, sustained oil prices above \$100 per barrel and ongoing disruption in global energy supply could put pressure on corporate margins and earnings. In case this conflict prolongs, we could see sustained outflows from

The ongoing war is a significant headwind for India from a macroeconomic perspective

Sachin Bajaj
Executive vice-president & CIO at Axis Max Life Insurance

good and which ones would you avoid?

In the current backdrop, the preference would be for a defensive portfolio. Themes such as pharma, healthcare, IT, oil and gas upstream, banks, and defence are

expected to outperform the broader index. Meanwhile, sectors likely impacted negatively due to higher crude prices and supply-side disruptions, such as Airlines, travel and tourism, chemicals, and oil downstream companies, can be avoided.

Having said that, after the recent market correction, valuations have become reasonable, with the Nifty50 trading at 17x on a one-year forward basis—below the 5-year average—offering a margin of safety. The war has increased downside risks to earnings; however, if the war ends soon, the hit to earnings will be manageable.

Domestic institutions have been absorbing FPI selling through the course of the war. Do you think FPIs will

return to Indian markets given the possible lasting impact of the war?

FPIs have been net sellers for several months, driven by capital rotation towards AI themes, relatively higher valuations for Indian markets, and an earnings slowdown. Most recently, FPI outflows have accelerated due to the sharp rise in oil prices and its negative implications for India's growth. Over the past month, FPIs have sold nearly \$13 billion in equities, which is one of the highest recorded figures, while domestic institutions continue to be net buyers, providing critical support to the markets. The war has created significant macroeconomic uncertainty, and FPIs are unlikely to return aggressively until a meaningful de-escalation occurs. Post the recent correction, market valuations have moderated to below the long-term average, and a de-escalation at this stage could bring interest back to Indian equities.

Should RIL clarify Trump claim?

Company compliant with Sebi’s disclosure norms, but experts say NSE, BSE should seek clarity over US refinery speculation

Nehal Chaliawala
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More than three weeks since the US President Donald Trump announced an investment by ‘Reliance’ in a new oil refinery in his country, a lack of clarity from both the Mukesh Ambani-led company and India’s two top stock exchanges on the subject has exposed gaps in India’s rumour verification rules, experts said.

While some experts believe that Reliance Industries Ltd should have provided further clarity on whether it was investing in the US, others think the situation falls within the ‘grey area’ of the disclosure rules governing listed companies.

However, experts say India’s two top stock exchanges—BSE Ltd and the National Stock Exchange—could have used their discretion to seek clarification from Reliance Industries on the subject, as they often do with other firms for matters of far less significance.

Rumour verification is governed by Regulation 30(II) of the Securities and Exchange Board of India’s (SEBI) Listing Obligations and Disclosure Requirements, 2015 (LODR). The regulation was amended in 2024 to link verification to stock price movement rather than event materiality.

For a stock priced above ₹200, such as Reliance Industries, the price movement threshold is 3% relative to the benchmark. This threshold was not breached for Reliance Industries on 11 March, the day after Trump’s announcement.

“The framework is still relatively recent in its current form, and situations involving cross-border developments or multi-source disclosures can raise interpretational questions on both issuer obligations and exchange intervention thresholds,” said Sumit Agrawal, senior partner, Reg-street Law Advisors & former Sebi officer.

However, nothing prevented the stock exchanges from seeking discretionary clarification in this case, Agrawal said.

For instance, on 30 March, both the BSE



So far, Reliance Industries has neither confirmed nor denied whether it is involved in any kind of deal with America First Refining. REUTERS

and the NSE sought clarification from Vedanta Ltd after news reports appeared that the company was seeking energy partnerships in the US and was ready to invest up to \$5 billion in the country. The reports were based on comments made by Vedanta chair Anil Agarwal at a conference in the US earlier that week.

“The Company, from time to time, evaluates various strategic opportunities, including investments and partnerships, in the ordinary course of business. Such discussions, if any, are exploratory and preliminary in nature,” Vedanta clarified to the bourses on 30 March. There were no binding decisions or material developments that required disclosure under Sebi regulations, the company said.

The BSE and the NSE did not respond to *Mint*’s request for a comment.

On 10 March, Trump took to social media to announce that America First Refining, a

Texas-based firm, was opening the first new oil refinery in the country in over 50 years.

“Thank you to our partners in India, and their largest privately held Energy Company, Reliance, for this tremendous investment,” the 79-year-old Republican wrote on Truth Social, a social media platform.

America First Refining put out a press

involved in any kind of deal with America First Refining.

“Based on the amended Sebi Listing Regulations, it is necessary to clarify the rumours or make requisite disclosures to stock exchanges regarding the said deal,” said Gaurav Pingle, a practising company secretary, who believes that a clarification by the company was in order.

DISCLOSURE DEBATE			
SOME experts think the situation falls within the ‘grey area’ of the disclosure rules of listed firms	RUMOUR regulation was amended in 2024: verification to stock movement now linked	FOR stocks above ₹200 like RIL, 3% is the price movement threshold relative to the benchmark	HOWEVER , This threshold was not breached for RIL on 11 March, day after the announcement

release shortly in which it claimed to have received “a 9-figure investment from a global supermajor at a 10-figure valuation” in February. It did not name the investor. A 9-figure investment translates to anywhere between \$100-999 million (₹925-9,250 crore).

So far, Reliance Industries has neither confirmed nor denied whether it is

The regulator eventually fined the company ₹30 lakh. Reliance challenged this decision in the Securities Appellate Tribunal and the Supreme Court, but both the judicial authorities ruled in Sebi’s favour.

“The Reliance-Facebook precedent is the reason we now have a mathematical formula for truth in the Indian markets,” said Ankita Singh, managing partner at Sarvaank Associates, a boutique law firm. Back then, Reliance was fined for remaining silent during a month-long media leak because the rules were vague, she said, adding that the episode forced a move from discretionary to mandatory conditions.

Under the new rules, unless a rumour causes the stock price to breach material thresholds relative to the broader market, the company was legally entitled to maintain its silence, she said.

“Reliance seems to have perfectly applied the legal application of the new price-first verification rules that protect companies from reacting to every headline that the market hasn’t yet bought into,” Singh said.

Agrawal, the former Sebi officer, believes that when information originates from third-party statements and is subsequently amplified through media reports, as in this case, the applicability of the rumour verification obligation may not be straightforward.

“From a policy perspective, there may be merit in further refining the guidance to provide greater clarity on such scenarios, particularly on when exchange-led clarification should supplement issuer-driven disclosure to enhance market transparency,” he said.

Agrawal, however, said that if Reliance Industries’ promoters made the investment in their personal capacity, or through an entity outside the listed company, the company would not be required to disclose it. He added that exchanges could have checked this separately as part of their surveillance, and would not be required to disclose it either.

The exchanges did not comment on whether they had made any outreach to Reliance on the matter.



Match days now deliver roughly a 10% sales uplift. AFP

Eateries, bars prep IPL menus amid LPG disruption

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but overall revenue impact is at a modest 2-3%.

Craft beer business Geist Brewing Co., has also seen IPL screenings become a bigger draw. After last season’s turnout for Royal Challengers Bengaluru matches exceeded 600 people for the final, the company upgraded to large-format projectors.

Match days now deliver roughly a 10% sales uplift, helped by cricket-themed bundles. “Warmer weather, open-air formats and the beer-cricket connection should support stronger sales this season, especially if Bengaluru goes along in the tournament,” said co-founder Narayan Manepally.

For quick-service restaurants, the IPL is just as much about delivery as it is about dine-in. Wow! Momo launched the “Indian Momo League,” using city-based fandom and the tournament to drive more frequent orders and higher average bills.

“IPL should have a good impact on deliveries. March was not particularly strong, but it was not a washout either, helped by Eid, mall traffic and other triggers like *Dhurandhar 2*,” said co-founder Sagar Daryani. The company operates 800+ stores and is using the season to push incremental demand across dine-in, takeaway and delivery.

Some brands are also exploring team partnerships and limited-edition products. Curefoods is running a ‘Slice Maar’ campaign with Rajasthan Royals, linking products to cricket rituals. “With the new Royal Pizza Slice, we’re not just selling a product; we’re serving an essential part of the cricket ritual,” said chief operating officer, Gokul Kandhi.

To be sure, Indians are eating out more often, with average dining-out frequency rising from 6.6 times a month in 2019 to 7.9 times in 2024, according to the National Restaurant Association of India.

The restaurant industry is expected to reach ₹7.76 trillion by fiscal year 2028 (FY28), growing at 8.1% CAGR. The IPL offers a ready-made, multi-week occasion that cuts across formats, cities and income groups. Bars can fill weekday seats, casual dining chains can package group experiences, and delivery-led brands can chase extra orders per household.

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Govt taps 2-wheelers in electric journey Tempting customers to deposit remains a tough task for lenders

FROM PAGE 1

challenge,” the person said. The top five e-two-wheeler firms Ather, Ola, TVS, Bajaj and Hero MotoCorp together garner 85-90% of the sales.

“The meeting involved consultations with electric two-wheeler makers on how to promote electric mobility in the country in a bid to shift away from crude oil dependence,” said the second person cited above, who also did not want to be named. The discussion centered around ways to reduce people’s apprehension around EVs, especially those related to safety and uncertainty around new technology, the person said. “There were discussions around reaching out to resident welfare associations (RWAs) to run awareness campaigns and offer test rides to promote electric vehicles. A digital as well as billboard marketing approach could also be undertaken,” the person said.

Queries emailed to the spokespersons of the BEE and the power ministry on 2 April, and to Hero MotoCorp, Bajaj Auto, TVS Motor, Ather Energy and Ola Electric on 3 April remained unanswered until press time.



Go Electric campaign was launched in February 2021. BLOOMBERG

India’s adoption of electric mobility is on the rise and its costs are coming down. A December 2025 report by KPMG said India has almost

India sold over 2.45 million EVs (including two-wheelers) in FY26, compared to 1.96 million units in FY25

252,787 in FY22, per government’s Vahan portal.

The ‘Go Electric’ campaign had been launched by the road transport and highways, power, and new and renewable energy ministries to reduce the country’s dependence on crude oil imports by promoting e-mobility and electric cookstoves, as per a power ministry statement of 19 February 2021.

Mint had reported on 3 April that the government was looking to boost output of induc-

tion stoves to push electricity-based cooking amid the ongoing West Asia energy crisis.

Energy security experts said it is important to move towards e-mobility and reduce the dependence on oil. “There may be range anxiety (fear that an EV would run out of battery charge) or concerns that the initial cost would be high because of charging infrastructure and battery prices. But those concerns can be addressed, battery prices which have already come down, will fall significantly going ahead,” said Kirit Parikh, former member (energy) of the erstwhile Planning Commission of India. “Concerns over lack of infrastructure will have to be addressed... An accelerated move towards electrification of mobility must come now, rather than later.”

India sold over 2.45 million EVs (including two-wheelers) in FY26, compared to 1.96 million units in FY25. About 8.2% of the 29.74 million new vehicles sold in FY26 were electric, as against 7.5% in the previous year, Vahan data showed.

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Deposit-raising has been a problem for quite some time now. Savvier investors are drawn towards the equity markets, directly or through mutual funds which have amped up awareness campaigns over the years.

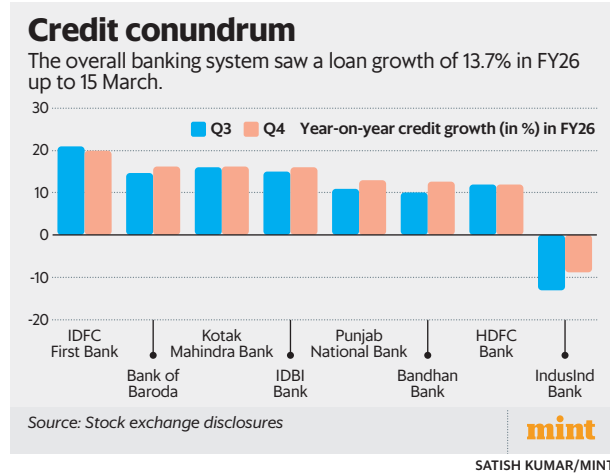
However, with equity markets under pressure over the last year as well as the current volatility owing to the West Asia war, it would be interesting to see whether some investors return to the banking system.

The overall banking system saw a loan growth of 13.7% and deposit growth of 10.8% in FY26 up to 15 March, shows latest RBI data.

Despite concerns that the war could cause an economic slump and slow down credit demand, analysts remain upbeat.

“The momentum remains robust, supported by liquidity buffers and a consumption-led recovery following GST cuts.

Overall, we expect systemic credit growth to sustain at 13.5% y-o-y in FY27,” analysts at Motilal Oswal said in a note. These analysts also said that



while the system-wide deposit growth stood stable at 10.8%, faster credit growth has led to a spike in credit-deposit ratio to 83%.

“With competition for deposits remaining intense, banks continue to face challenges in mobilizing low-cost deposits. We expect term deposit rates to remain sticky, given the continued pressure on low-cost deposit mobilization,” the Motilal report said.

The provisional data also showed that the gap between deposit and credit growth wid-

ened for many banks over the past quarter. For instance, IDFC First Bank’s deposit growth was 300 bps above its credit growth in Q3, which reversed to a 280 bps deficit in the March quarter. Similarly, Kolkata-based Bandhan Bank’s deposit growth was 120 bps over its credit growth in Q3. However, in Q4, credit grew 260 bps higher than deposits.

Some of this is also due to the stronger credit growth in the last quarter of the financial year, when banks see higher demand for loans.

TCS’ new challenge: Retaining senior talent amid exodus

FROM PAGE 1

any. “The combination of these effects has created increased uncertainty and some dissatisfaction. Some specific clients may feel the impact as their favoured consultants and engineers are no longer with the account.”

Queries emailed to TCS went unanswered until press time.

“The thing top-most on the minds of the people is why we are doing this (layoffs). We do not pay the best. Yet we managed to attract some of the best minds because of brand Tata. We always promised the best opportunities to people, a wide variety of projects in which they could work,” said one of

the executives cited earlier. “That trust has been broken.”

TCS, which saw 13.5% attrition in the December quarter, once had the lowest exit rate among peers. But that gap has narrowed. Cognizant Technology Solutions Corp, Infosys Ltd, and HCL Technologies Ltd ended the quarter with voluntary attrition of 13.9%, 12.3%, and 12.4%, respectively.

A high exit rate among senior executives raises questions about the company’s future, as these executives are the cornerstone of its flawless project execution. “No AI bots or automation tools can replace this talent pool,” said another executive. “Obviously, it does not bode well for the company.”

Amit Chandra, vice-president at HDFC Securities, said, “TCS’s growth has been impacted despite strong TCV (deal) wins because of higher leakages. The layoffs have created a sense of instability (at the leadership level) which was not there earlier.”

TCS lost some work from its large customers, including Zurich Life Insurance to DXC Technology last year and the UK insurance giant Phoenix Group to Wipro Ltd. In October, TCS lost a \$585 million contract from Paramount Global, the New York-headquartered entertainment company, to LTIMindtree Ltd, the IT services firm of L&T.

The firm reported \$22.4 bil-



A high exit rate among senior executives raises questions about the company’s future. HT

lion in revenue during April-December, implying it needs 3.65% dollar revenue growth in January-March to match its fiscal year 2025 (FY25) full-year

revenue of \$30.18 billion. Achieving this sequential growth is particularly difficult during a seasonally weak quarter, increasing the possibility

that TCS may report a full-year revenue decline on 9 April.

A weak macro environment adds to the uncertainty, prompting large firms to hold back on tech spending. In such times, companies are forced to bag deals at low operating margins.

A second reason for departures is that the senior leadership pool has not received more than 10% of variable pay over the past two years, according to three executives. Many of these 300 executives subsequently joined startups, For-

tune 500 companies, or smaller firms like Genpact, offering higher compensation.

“For more than two years, none of this senior leadership has received any variable pay, even as the company has paid hikes and variable pay to the junior staff,” said another executive.

Some analysts said the shift is structural. “This is less about layoffs and more about a structural reset.

When firms move from labour-led delivery to AI-led execution, you simply need fewer

LEADERSHIP CHURN

AT least 300 of 1,800 senior executives have quit TCS in eight months through 31 March

THIS is at least a 16% churn among senior ranks, the highest since the company went public in 2004

layers of senior oversight,” said Phil Fersht, chief executive of HFS Research, an outsourcing research firm.

Thomas Reuner, principal analyst at Pierre Audoin Consultants, said the direction of travel is toward fewer middle layers and more senior positions that can handle execution and coordination.

High churn in the senior leadership ranks, along with declining growth, came at a time when TCS shares hit a six-year low late last month. Its shares closed at ₹2,451.65 a share on Thursday, with a market cap of \$95 billion.

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A drone attack caused a fire on a Kuwait Petroleum Corporation building in Kuwait City on Sunday.

Iran attacks energy infrastructure across Gulf states

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DUBAI

Critical infrastructure across the Gulf came under attack from Iran on Sunday, with damage reported at civilian facilities in the United Arab Emirates (UAE), Bahrain and Kuwait.

Gulf countries have faced repeated drone and missile salvos from Iran in response to US and Israeli strikes on the Islamic republic that began at the end of February.

Iran has targeted energy and other industrial infrastructure in the oil-rich Gulf nations, accusing its neighbours of allowing US forces to carry out attacks from their territory.

The Gulf states have vehemently denied the accusations. Attacks by Iranian drones on Sunday resulted in "severe" damage to Kuwaiti oil and petrochemical facilities, the state

global shipping lane, have convulsed the global economy.

Earlier, authorities in Abu Dhabi said they were battling fires at a petrochemical plant in Ruwais Industrial City on the UAE's north-west coast.

"Authorities are responding to multiple fires in Borouge petrochemicals plant, caused by falling debris following successful interceptions by air defence systems," the Gulf emirate's media office said.

"Operations at the facility have been immediately suspended while damage is assessed. No injuries have been reported," it added after the UAE's defence ministry earlier said it was responding to missile and drone attacks.

Iran's military said it was targeting "aluminium industries" in the UAE and US military infrastructure in Kuwait, the official IRNA news agency reported on Saturday.

Iran has repeatedly threatened civilian infrastructure in petroleum company said.

Iran is accusing neighbouring countries of allowing US forces to carry out attacks from their territory

The Kuwait Petroleum Corporation said a number of facilities of its subsidiary Petrochemical Industries Company were targeted in the attack which "resulted in the outbreak of fires at several of these facilities and caused severe material damage".

Earlier, Kuwait's electricity and water ministry said two power and water desalination plants were damaged by a drone attack from Iran, causing "significant material damage and the shutdown of two electricity generating units."

In Kuwait City, the finance ministry said an Iranian drone attack caused "extensive" damage to a government building, but "no human casualties were recorded."

The war has spread across West Asia, and Iran's attacks on Gulf energy infrastructure as well as its effective closure of the Strait of Hormuz, a critical

the deputy governor of Khuzestan province said.

In Bahrain on Sunday, the state energy company said an Iranian drone attack sparked a fire at a storage tank that was later extinguished.

"Bapco Energies confirms an incident occurred at one of its storage facilities earlier today resulting in a tank fire, as a result of a hostile Iranian drone attack," the company said, without specifying the location of the blaze.

It added that the damage was being assessed and no injuries were reported.

Iran's escalating threats have also extended to desalination plants on which the desert Gulf states rely heavily for their water supplies.

US rescues airman, vows 'hell' for Iran if Strait stays shut

Rescued airman was from plane Iran shot down on Friday; Trump tells Iran to open Strait of Hormuz by Tuesday

Reuters
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WASHINGTON/CAIRO

US special forces rescued an airman stranded in Iran in a high-risk mission deep inside hostile territory while President Donald Trump threatened to rain "hell" on Tehran if it did not reopen the Gulf for oil flows vital to the world economy.

Trump announced the rescue in the early hours of Sunday in a social media post that described the operation in a mountainous area as "one of the most daring" such missions in US history.

The airman, the weapons officer of an F-15 jet shot down on Friday, was wounded but "will be just fine," Trump said in a message on X. The pilot was rescued on Friday.

In another post, laden with expletives, Trump repeated a demand that Iran open the Strait of Hormuz, the conduit for around a fifth of the world's oil and natural gas supply, which has been largely shut down since the war began five weeks ago.

"Tuesday will be Power Plant Day, and Bridge Day, all wrapped up in one, in Iran," he said on his Truth Social platform, threatening to hit energy and transport infrastructure that critics say would violate international law.

"There will be nothing like it!!! Open the Fuckin' Strait, you crazy bastards, or you'll be living in Hell - JUST WATCH! Praise be to Allah. President DONALD J. TRUMP"

Adding to the pressure, Washington's ally in the war Israel, which attacked a major petrochemicals facility on Saturday, was preparing to attack energy facilities next week and was awaiting US approval, a senior Israeli defence official said.

However, in the sort of mixed mes-



In the sort of mixed messaging that has baffled supporters and foes alike let alone financial markets, US President Donald Trump told Fox News on Sunday that Iran was negotiating, with a deal possible by Monday.

saging that has baffled supporters and foes alike let alone financial markets, Trump told Fox News on Sunday that Iran was negotiating, with a deal possible by Monday.

With the impact from the Strait's closure on the global economy deepening by the day, the rescue of the US airman removed the risk for Trump of a hostage crisis further souring the mood of an American public already sceptical of the war.

A US official said the operation, which Israel said it had assisted, involved dozens of military aircraft and encountered fierce resistance from Iranian forces.

Iran said several US aircraft were destroyed during the operation, including two military transport planes and two Black Hawk helicop-

ters. Footage posted on social media showed burned-out aircraft wreckage, which Reuters verified was in the area.

The loss of the F-15 last week—as well as an A-10 ground-attack aircraft in a separate incident—underlined the risks still facing US and Israeli aircrew despite Trump's assertions of total control in the skies over Iran.

A US official told Reuters that US forces had to destroy at least one of the aircraft used in the rescue mission because it had malfunctioned but many details of the operation remained unclear.

The Wall Street Journal reported

that two specially equipped MC-130Js aircraft used to carry out covert infiltrations and to remove troops from beyond enemy lines were blown up by US forces after malfunctioning.

A senior administration official in Washington said the rescue had involved a CIA deception campaign spreading word inside Iran that US forces had already found the missing airman and were moving him on the ground for

exfiltration out of the country.

While the Iranians were confused and uncertain of what was happening, the missing weapons officer was located inside a mountain crevice and

A US official said the operation involved dozens of military aircraft and encountered fierce resistance from Iran's forces

Israel says more than 1,000 Iranian missiles still threaten it

Bloomberg
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Israel assesses that Iran still has more than 1,000 missiles capable of reaching it, while Hezbollah's arsenal in Lebanon includes as many as 10,000 shorter-range rockets, according to military briefings cited by Israeli media this weekend.

In an interview with Channel 12, an Israeli air force officer provided the tally of remaining Iranian ballistic missiles in what appeared to be an official break from ear-

lier refusals to disclose estimates of Tehran's arsenal. The estimate of 8,000 to 10,000 rockets in Hezbollah hands was reported by Israel's Army Radio.

Given the current rates of fire by Iran and its ally Hezbollah, more than five weeks into the conflict, the estimates imply potentially months more fighting—even though Israel and the US insist their core objectives are being achieved. Iran and Hezbollah don't comment on the size of their weapons caches. Neither has shown signs of backing

down.

"A great deal of resources would have to be invested to bring that down to zero. In all honesty, I have to tell you that it won't reach zero," the air force officer, an intelligence lieutenant-colonel whose name was withheld under customary regulations, said of Iran's ability to keep firing.

Iran before the war was

believed to have about 2,000 intermediate-range ballistic missiles capable of reaching

Israel, two senior Israeli officials told Bloomberg earlier on condition of anonymity. More than 500 have since been launched at Israel and others destroyed on the ground, according to the Israel Defense Forces (IDF).

Tehran is firing missiles from dozens of tunnel silos in

remote mountain regions that are proving hard to destroy pre-emptively, the air force officer told Channel 12. "I'm not sure we're capable of doing much more" to stem the salvos, he added.

Israel is waging a parallel campaign in neighbouring Lebanon to drive back Hezbollah, Tehran's guerrilla ally, which reignited that front with cross-border rocket salvos two days after the Iran war erupted. As many as 200 to 250 rockets have been launched each day, most of them directed at Israeli troops

crossing into southern Lebanon. The rockets that have reached into northern Israel have kept tens of thousands of civilians mostly confined to bomb shelters around the clock—scenes played out for central city-dwellers as well, albeit at lesser frequency, from the Iranian missiles.

The IDF said it was fine-tuning its launch-detection technologies to give Israelis within range of Hezbollah rockets more time—often measured in seconds—to seek shelter.

The cause of death, the

Life and death aboard ships stranded near the Strait of Hormuz

Rebecca Feng
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On the 19th day that the oil tanker ASP Avana was stuck in the Persian Gulf, its 47-year-old captain, Rakesh Ranjan Singh, died.

Singh had boarded the vessel in early February and sailed to the Persian Gulf to load crude. But his journey back to Asia ground to a halt Feb. 28 when U.S. and Israeli forces struck Iran. With no ships allowed to cross the Strait of Hormuz, under threat of attack, his ship was stuck off the coast of Dubai.

Singh's family heard on March 18 from the tanker's operating company, Elegant Marine Services, that the captain had suffered a medical emergency. Crew members tried to give him first aid, but to no avail, said Alok Singh, the late captain's brother-in-law. With no air ambulances allowed to fly in to help, the captain was transferred to shore on a speed boat and taken to the Rashid Hospital in Dubai. By then, it was too late. The cause of death, the

brother-in-law was told, was cardiac arrest. Elegant Marine Services didn't respond to requests for comment.

There are roughly 2,000 ships stuck in the Persian Gulf with more than 20,000 seafarers on them, according to the International Maritime Organization. Most have been stuck on board more than a month, because fewer than 200 ships have managed to slip through the Strait of Hormuz. In normal times, 20% of the world's oil flows through the narrow waterway to global markets, along with critical supplies of natural gas, fertilizer and other cargo shipments. It's unclear when the vital shipping lane will get back to normal.

Fresh vegetables and freshwater are running out on many ships, so the sailors are using social media and very-high-frequency marine radios to share survival tips and tactics. Some Chinese crew members have filmed themselves collecting condensate from air-conditioning units to shower and wash laundry. Others have taken to fishing over the side of their tankers, catching tuna, squid and largehead hairtail to

cook.

Restocking supplies has become difficult—and expensive. The Port of Fujairah in the United Arab Emirates, where ships usually turn to, has been repeatedly attacked. Companies that provide fresh food to ships are charging more. The going rate for mangoes is now \$31 for a kilogram, or roughly 2.2 pounds, and oranges are \$15 a kilogram for about three large pieces of fruit, according to screenshots of supply price lists reviewed by The Wall Street Journal.

Flying in crews and swapping them out remains tough because flights to major crew-change locations, including Dubai, are still relatively scarce and expensive.

The International Transport Workers' Federation, a labor union based in London that represents a million seafarers, has received about 1,000 inquiries since the start of the conflict from crew near the strait, asking for support. A growing number report vessels are running out of food, while 200 seafarers wanted help getting off a ship to go home. More than half of the calls have been about pay and other contractual entitlements while in the war zone.



There are roughly 2,000 ships stuck in the Persian Gulf with more than 20,000 seafarers on them.

"We don't understand how some shipowners are still taking their vessels there, exposing seafarers. It's absolutely unacceptable," said Mohamed Arrachedi, who handles requests from seafarers in the Arab world and Iran for the federation. "Seafarers should be able to go home when they ask for it. They don't want to be heroes."

Commercial sailors typically spend six months at sea each year, with some Chinese and Southeast Asian seafarers staying out up to 10 months, without breaks. War has driven up the price of cargoes, and shipowners have been

willing to pay hefty raises to seafarers willing to go to the Gulf.

Crew staffing companies in China are offering double compensation in some cases, according to job advertisements. A captain can now earn more than \$26,000 a month for a journey through the Strait of Hormuz. Pay varies dramatically, depending on the ship-management company and the crew member's seniority level. A boatswain on a merchant ship, who supervises the deck's seamen and manages equipment like ropes and cables, can earn nearly \$5,200 a month.

Wartime hazard pay is warranted because the dangers are real, several seafarers said.

On March 2, crew members on ships anchored near MKD Vyom, a Marshall Islands-flagged oil tanker, heard a conversation crackle to life over the marine VHF radio, between the tanker's captain and an Omani navy ship. "Missile attack. Starboard side," the captain said, according to a recording shared with the

Journal. "An explosion inside the engine room."

The ship was loaded with 59,463 metric tons of gasoline, and a junior seafarer was dead after the ship, bound for a port of Saudi Arabia, was struck by a remote-controlled boat about 50 miles off the coast of Muscat, Oman, the recording showed.

Crew members abandoned the ship and were rescued by another vessel. The body of the dead crew member was left in the engine room because there were no more firefighter suits left, the captain said on the recording. The ship's operator couldn't be reached

directly to ships, communicate which vessels have been attacked or sunk, according to several seafarers and Navtex messages seen by the Journal.

Iran's Islamic Revolutionary Guard Corps frequently calls out to ships via marine VHF to warn them not to cross the strait, according to one 32-year-old Chinese seafarer whose vessel—carrying liquefied natural gas—has been stuck 25 nautical miles northwest of Dubai for weeks. A few days ago, he was jolted awake by a loud bang around 5:40 a.m., he said, adding that a nearby ship had thick smoke billowing from it. "I am, of

course, scared, but I don't dare to tell my family. I just tell them all is well," he said.

U.S.-EUROPE ALLIANCE REACHES BREAKING POINT

Gulf war has triggered a new crisis in trans-Atlantic ties that were already on the rocks after a standoff over Greenland



Belgian Armed Forces soldiers stand guard along a street near the Great Synagogue of Europe, formerly known as the Great Synagogue of Brussels, in Brussels on 24 March.

AFP

Marcus Walker & David Luhnow
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Trans-Atlantic ties between the U.S. and Europe are deteriorating rapidly, with tensions over the Iran war adding to a growing sense that the world's most important geopolitical partnership is sliding toward a divorce.

President Trump has expressed “disgust” with European allies for not joining the U.S.-Israeli war against Iran, and has mused with aides and journalists about pulling out of the North Atlantic Treaty Organization, the 77-year-old alliance that won the Cold War and, until recently, underpinned the West.

For their part, European leaders have come out staunchly against a war they weren't consulted on, and which they see as both illegal and ill-advised. After a year in which Trump placed tariffs on European products, scrapped most U.S. support for Ukraine, repeatedly mocked European leaders and threatened to seize the Danish territory of Greenland, they and their voters are in no mood to help out.

At stake in the growing conflict is the future of NATO, which for decades has kept Europe safe and allowed it to prosper. Until recent weeks, Trump's main complaint about NATO had been about burden-sharing—that European nations weren't pulling their weight in the continent's joint defense.

Now, with European members of NATO sitting out the war, Trump is questioning whether defending Europe serves U.S. interests at all if Europeans don't help American military interventions in the Middle East or elsewhere.

The implication: The U.S. role in NATO is a favor to Europeans, and it needs a quick pro quo to be worth America's while.

“We would always have been there for them. They weren't there for us,” Trump told Britain's Telegraph newspaper this week. European help with the Strait of Hormuz should have been “automatic,” like the U.S. automatically helped with Ukraine, which “wasn't our problem,” he said.

An early test of how much damage has been done to the alliance will come Wednesday when NATO Secretary-General Mark Rutte visits the White House.

Over the past year, staunch allies have lost confidence in the U.S.'s judgment, following Trump's bid for Greenland and an approach seen as favoring Moscow.

Rutte, who has strived to remain on good terms with Trump, plans to give a speech at the Ronald Reagan Presidential Foundation Institute in Washington.

LONELY SUPERPOWER

The White House's stance is a break with American global strategy since World War II, which has treated Europe's stability and security as a vital U.S. interest. The long-term commitment to Europe came about after the U.S. repeatedly found it couldn't ignore or stay out of major conflicts there.

The scale of the U.S. military presence in Europe shrank after the Cold War. But U.S. presidents before Trump still saw Europe's stability as important and American leadership of NATO as useful to that end.

“While you can make a case that things have changed, the vast majority of American strategists would still say Europe is objectively quite important, because of the concentration of wealth, actual or latent military power, and the historical tendency to end up in big fights internally,” said Michael O'Hanlon, director of foreign-policy research at the Brookings Institution in Washington.

The 27-country European Union is the U.S.'s biggest partner for trade and investment. And two-thirds of Americans say the U.S. benefits from NATO membership.

Trump has never liked the alliance, but this past week marked a shift, said François Heisbourg, special adviser at the Foundation for Strategic Research in Paris and a former French official.

“The Americans are talking directly and openly about doing away with NATO. The notion that actually it's expendable—that is new,” he said.

Allies need to take the breakup scenario seriously, Polish Foreign Minister Radosław Sikorski said on X Thursday. “Of course, we want to be a good, loyal ally of the United States, but we cannot pretend that the U.S. President isn't saying what he is saying.”

Over the past year, even staunch allies have lost confidence in the U.S.'s judgment and decision-making, following Trump's bid for Greenland and an approach to the Russia-Ukraine war seen

as favoring Moscow.

U.K. Prime Minister Keir Starmer, who has been repeatedly belittled by Trump, said this past week Britain was pivoting toward Europe in both economic and security policy. The implication: It can't count on the U.S.

As recently as February, when the U.S. pulled out of some NATO command roles, the message was that Washington remained committed to the alliance but Europe should take on more of its work. That stance was seen as reasonable in Europe, said Fabrice Pothier, chief executive of geopolitical consulting firm Rasmussen Global.

On Iran, “Trump is kicking and screaming because he made a unilateral move with only Israel and how he's realizing it's pretty heavy lifting,” said Pothier. “The U.S. is going to be a more lonely superpower—at a higher cost to itself.”

ALLIES WITH BOUNDARIES

The Trump administration's anger has boiled over in part because European countries including France, the U.K., Italy and especially Spain have put limits on how the U.S. can use their air bases and airspace for the war. European allies have also rejected Trump's demands to send naval forces to help reopen the Strait of Hormuz while the war is still raging.

Yet Europe has also quietly facilitated the campaign against Tehran. U.S. military aircraft and ships have used bases in the U.K., Germany, France, Italy, Portugal and Greece for logistical support as well as strikes against Iran. Some European countries have also sent air-defense assets to help protect friendly Gulf countries against Tehran's missile and drone strikes.

European officials say NATO has always been a relationship with boundaries. Its charter defines it as a mutual-defense pact covering Europe and North America. Members aren't obligated to support U.S. wars of choice in other regions such as the Persian Gulf.

Trump's insistence that NATO didn't show up when the U.S. needed it is seen in Europe as deeply unfair. Since its creation in 1949, the only time NATO's mutual-defense clause has been activated was after Sept. 11, 2001, when allies rallied to America's side and joined the U.S.-led war in Afghanistan, suffering several thousand casualties fighting the Taliban. Trump belittled allies' role in January, wrongly saying they had stayed behind the front line.

WHAT

European countries including France, the U.K., Italy and especially Spain have put limits on how the U.S. can use their air bases and airspace for the Iran war.

SO

President Trump has expressed “disgust” with European allies. At stake in the growing conflict is the future of NATO, which for decades has kept Europe safe and allowed it to prosper.

BUT

Trump still has reasons to hold back from ending NATO, analysts say. The U.S. wants to sell weapons to European allies and pulling out would reduce its leverage.

“The offense taken to those comments in Europe was palpable and deep, in a way that many in the U.S. didn't register,” said Philippe Dickinson, a former British diplomat and the deputy director of the Transatlantic Security Initiative at the Atlantic Council, a U.S. think tank.

European leaders still hope to assuage Trump by pointing to their rising military spending. Finnish President Alexander Stubb told Trump in a phone call on Wednesday that NATO was changing, with Europe shouldering more responsibility, his office said.

But Trump is now questioning the whole point of NATO if it won't follow the U.S. into the Iran war. “COWARDS, and we will REMEMBER!” he fumed in a recent social-media post about Europe not sending naval forces to help reopen Hormuz.

In Europe, some see that as a demand to reinvent NATO as an auxiliary force for American expeditionary wars.

“Trump himself sees no value in NATO other than using it instrumentally as a toolbox to support his unilateral adventures,” said Kamil Zwolski, a scholar at the



A man looks at a destroyed building within the Grand Hosseiniyeh complex that officials say was hit by U.S.-Israeli airstrikes Tuesday in Zanjan, Iran, Saturday, 4 April.

PTI

Royal United Services Institute in London.

WITHDRAWAL SYMPTOMS

The alliance isn't history yet. Trump hasn't made a decision, U.S. officials say. A move to pull out would face pushback in Washington. On Thursday, Sens. Mitch McConnell (R., Ky.) and Chris Coons (D., Del.) said in a rare bipartisan statement that NATO strengthens American security.

Formal withdrawal from the 1949 treaty that created the alliance would be legally fraught. A law passed by Congress in 2023 says “the president shall not suspend, terminate, denounce, or withdraw the United States” from the NATO treaty unless the Senate agrees by a two-thirds majority or Congress passes a new act.

That provision—co-sponsored by then-Sen. Marco Rubio, who is now Trump's secretary of state—was adopted after Justice Department lawyers during Trump's first term asserted that the president has exclusive power to pull out of treaties.

But NATO could fall apart de facto, even if its founding treaty were upheld legally. The alliance's lifeblood is its deterrent credibility: the perception by potential adversaries such as Russia that attacking

For Europe, ending the alliance would be costly. Most countries in the region are rebuilding their militaries after years of neglect.

a NATO country would trigger war with the full alliance, including the U.S. Trump could also hollow out NATO's capabilities by slashing the U.S. military presence in Europe.

The American security guarantee for allies “is fundamentally a political commitment, not a legal one,” said Pothier.

Trump still has reasons to hold back from ending NATO, said Phillips O'Brien, a military historian at St. Andrews University in Scotland: Congress would balk, the U.S. still wants to sell weapons to European allies and pulling out would reduce U.S. leverage in world affairs.

For Europe, too, ending the alliance would be costly. Most countries in the region are rebuilding their militaries after years of neglect, but would still need many years and tough spending decisions before they could defend themselves without the U.S.

Optimistic officials in Europe say Trump's threats are a negotiating tactic to pressure allies into helping more with Iran. But the question is whether NATO is still an effective deterrent.

“There is no trust left,” said Heisbourg. “It's like with a divorce: When certain words are used, you can't walk them back.”

OUR VIEW



Monetary policy: Acting in haste is a risk in itself

Amid today's complex and uncertain macroeconomic scenario, India's Monetary Policy Committee had best wait and watch till the haze over its growth-inflation trade-off lifts

The Reserve Bank of India's (RBI) rate-setting Monetary Policy Committee (MPC) meets today for the first of its six three-day bimonthly meetings for fiscal year 2026-27. Understandably, all eyes are on the MPC; in particular, on the governor's statement at the end of it. But expectations of rate action are virtually non-existent. From a scenario where GDP growth was doing well and inflation was well within our target range, though higher after the consumer price index was recast with 2024 as its base, we now face a scenario that is diametrically different. Economic growth shows signs of slowing, while inflation edges up. True, we will have to wait till the end of May to get updated GDP numbers, but high-frequency indicators already suggest a slowdown. As for the cost of living, retail inflation for February 2026, the last data point available, has risen to a 10-month high of 3.2% year-on-year, up from 2.7% in January. Economists expect the March print to reflect the impact of the Gulf conflict, which began on 28 February, with dearer fuel just the nub of it. Multiple supply disruptions mean that higher prices will afflict not just oil and gas, or even their products, but a host of other things as well. Caught between the devil and the deep sea—slower growth and higher inflation, i.e.—what should the MPC do?

Maintain *status quo* on interest rates. This seems to be the obvious answer. After all, slower growth would call for lower policy rates (but possibly run the risk of stimulating demand just when we want a lid kept on demand pressures), while higher inflation would call for higher rates (and possibly dampen already-weakened growth impulses).

Faced with this dilemma, the MPC would find it best to do what most other large central banks—the US Federal Reserve, Bank of England and European Central Bank, among others—have done. Hold its policy repo rate (at 5.25% in India's case), while keeping a wary eye on the evolving situation.

In an interview with *Bloomberg*, International Monetary Fund managing director Kristalina Georgieva cautioned policymakers that they cannot assume the battle against rising prices is over. "A rapid rise in oil prices could ripple through global markets, stoking inflation while constricting economic growth." Governments and central banks, she warned, "might have much less room to cushion fresh shocks than during earlier crises." Given the uncertainty over how the flare-up in West Asia will play out on the Indian economy, it makes sense for the MPC to bide its time, assess evolving conditions and then act, if necessary. For now, it will be better served by focusing on the commentary that accompanies the governor's statement. At the February MPC meet, the panel had desisted from making its customary growth and inflation projections for the year, since the National Statistical Office was in the midst of revising the base year and methodology of GDP estimation. It sought time, instead, till the April policy to declare its projections, saying it would need to analyse the impact of statistical changes as well as that of tariffs. Well, this time round, it has another imponderable to address—the war. Settling for a no-show on rates, while ever-changing tariffs and an oil shock complicate an already complex situation, will grant the MPC time to work out the economy's trajectory—even if it proves to be off the mark, a probability that has clearly gone up.

MY VIEW | THE INTERSECTION

Tech firms are making effective contributions to military action

Their role makes some of them legitimate targets for Iran. It's also why India needs tech autonomy



NITIN PAI is co-founder and director of The Takshashila Institution, an independent centre for research and education in public policy.

On 31 March, Iran's Islamic Revolutionary Guard Corps (IRGC) threatened that it would target 18, mostly American, technology companies in retaliation to US-Israeli attacks on Iran. It declared that "since the main element in designing and tracking terror targets are American [Information and Communications Technology] and [artificial intelligence or AI] companies... the main institutions effective in terrorist operations [against Iran] will be our legitimate targets." Employees were warned to vacate their workplaces and residents living within a kilometre's radius of their premises were told to evacuate to safety.

On Iran's target list were Cisco, HP, Intel, Oracle, Microsoft, Apple, Google, Meta, IBM, Dell, Palantir, Nvidia, JPMorgan, Tesla, GE and Boeing. G42 and Spire Solutions, two UAE-based companies, were also named. Iranian strikes have already damaged Amazon Web Services data centres in Dubai and Siemens and AT&T facilities in Israel.

There was a time when I would have found this inexcusable. Now I am still appalled, but cannot in good conscience argue that the Iranians are wrong. Even international humanitarian law, which permits only military targets to be attacked, defines one "as an object that by its nature, location, purpose, or use makes an effective contribution to military action, and whose destruction

offers a definite military advantage." Palantir, for instance, has boasted that AI-powered targeting technology is playing an important role in the war. Some are defence contractors. Others provide communications and IT infrastructure used by the US and Israel. Iran can make a *prima facie* case that these companies are indeed making an "effective contribution to military action" against them. Under international law, any retaliation must have a legitimate military purpose, minimize civilian harm and be proportionate in nature.

It is chilling to realize that one consequence of civil-military fusion, network-centric warfare and AI-based lethal autonomous weapon systems is that private technology companies can be legitimate targets of war. The US-Israel war on Iran has disregarded such distinctions, but there is a big ethical and legal difference between attacking purely civilian infrastructure (which can be a war crime) and targeting private companies that are part of the military campaign (which is not). For their part, the US and Israel have attacked Iranian universities and steel plants that they could claim—although tenuously—are contributing to Iran's military capacity.

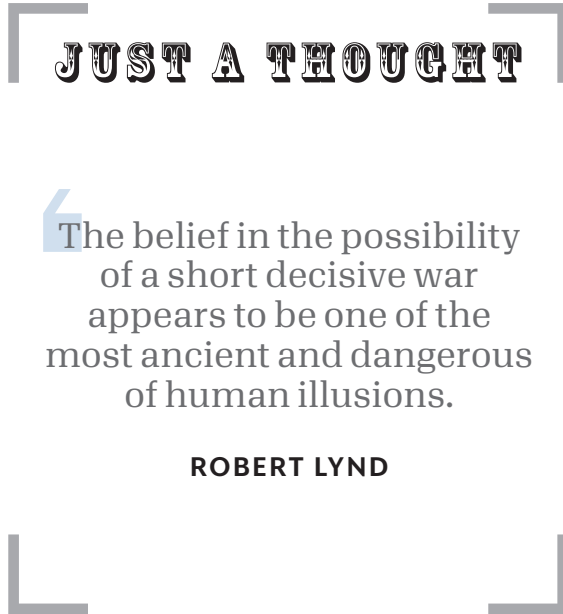
In 2024, Palantir's CEO Alex Karp argued in a book that "the technology sector has an affirmative obligation to support the state that made its rise possible." In his view, Silicon Valley owes its existence and success to the US government and must discharge its historical debt by backing Washington's geopolitical agenda. Amid a geopolitical contest with China, it is necessary for the tech industry to cooperate with the US government, especially to seize the unassailable dominance of AI. He berates the technology sector's intellectual culture for ignoring nation and purpose. Karp has become the standard-bearer for a new-generation Silicon Valley elite that has successfully mixed its commercial interests with domestic political choices and aligned them with

Washington's foreign policy positions. His case is not that tech firms should support the US military as doing so promotes a global liberal order, but because the US faces specific adversaries (China, Russia, Iran) in a civilizational contest and Western tech firms owe the home side their allegiance.

He's not alone. Several technology industry figures have published manifestos or declarations of support for America's national interests. Some have even joined the US Army. Even Anthropic—which had a famous fallout with the Pentagon after disallowing its technology to be used for mass surveillance of US citizens and powering fully-autonomous weapons—has declared that it agrees with nearly all military use-cases and believes in defending America. Its argument centres around the accuracy of targeting, not the military use of AI *per se*.

What this means is that it is not wrong to see US tech companies as wilful instruments of Washington's foreign policy, if not of its military machine. We saw this when Microsoft cut off access to its Russian customers after President Vladimir Putin invaded Ukraine. Intel, AMD, Dell, HP, Cisco, Oracle, Adobe, Apple, Amazon, Netflix and many others followed suit. To be sure, they did so 'voluntarily,' but clearly in service of Washington's desires. They only applied political and economic pressure. SpaceX, however, provides military assistance to Ukrainian forces.

Now, whether or not multinational companies should become instruments of their home governments is a decision for their shareholders to make. What Iran's threat shows is that they cannot escape the consequences of those decisions. The challenge for India is to systematically de-risk the country's defence, security and financial as well as energy infrastructure from dependence on foreign companies. This is not easy, but imperative. This is one more reason for India to urgently double its defence expenditure.



MY VIEW | MODERN TIMES

The youth: Are they the world's most overvalued asset?

MANU JOSEPH



is a journalist, novelist and screenwriter. His latest book is 'Why the Poor Don't Kill Us.'

At a dinner hosted by a family that owns a newspaper business, the conversation naturally drifted towards artificial intelligence, then doom. I said something I believe in, even though I knew it was not very persuasive. That the time has come for a triumphant return of a general interest print magazine, as long as it was brilliant, entertaining and not overrun with activists. Someone said, "But young people, they don't read, definitely not print." Not for the first time, the thought occurred to me: spare me the young, why should they matter for everything? They have no money, no clout. Even if it was true that they won't read a magazine, which I don't believe is true, why should that decide the survival of a product?

I notice this fixation with the young in several businesses. It is as though there aren't other kinds of people on this planet. That is odd when those businesses survive on other kinds of people. In cinema, television, dining, apparel, hospitality, social media and just about any business except hospitals and

old-age homes, people at the helm worry a bit too much about the young—how to get them, or how to keep them.

Entire nations are obsessed with the young. That insufferable buzzword, 'demographic dividend,' is all about this phenomenon. The value of the young is not only their fertility rate anymore, as the average age at which people become parents has been increasing. Their value is said to lie in their contribution to society, which I believe is overblown. They are merely loveable, and society is coming up with excuses to disguise its love for an adorable segment as a wise investment of time and money.

I am not saying the young have no value to a business; I am just saying that their allure is overvalued. Of course, some businesses are mostly for the young. Gassy sugar drinks that are called colas, some kinds of apparel, some superhero films that infantilize men with full beards, for instance. But some businesses that appear to be for the young are not exactly, or at least not exclusively, for the young. Consider social media, especially the mother of all of them—Facebook. Meta now worries that the young are abandoning Facebook for newer things, at least one of which the company itself owns. Why does the indifference of a new generation cause

so much pain if a prosperous but ageing population still backs a product?

Any product that fails to attract the young is quickly declared to be in decline. The usual explanations are familiar: habits form early, young users promise longer lifetimes and advertisers covet youth. But none of these claims is as economically decisive as it sounds.

The young do form habits, but they are also fickle. So, yes, they may live longer than middle-aged customers, but there is no guarantee that they'll stick on for their whole lives.

Religion, in this light, is particularly revealing. The old sustain it, but most of its resources are spent chasing the young. Christianity in the West, for instance, has claimed to be in crisis for decades. Every generation feared that its beautiful churches, filled only with old women, would perish as the young had stopped going. To woo them, churches do many things, including dumbing down liturgy and promoting Christian rock music filled with morals, as though the lure of rock

music is only in its music and not its words. But churches always survive, not because their ploys work, but because the young eventually become 'old women' and some of them go to church. Religion takes its regulars for granted and spends time and money wooing those who are not yet in its fold.

This is similar to what TV platforms are doing today in the name of capturing the youth—dumbing things down for the distracted, or trying to speak in youth lingo. But in my experience, the young are not dumb, while those who do the 'dumbing down' for them usually are. When I was in my early 20s, the magazine where I worked introduced some pages for 'the young.' The section editor's idea of a youthful segment was adding a 'yay' or a 'whoa' every now and then.

I think many people and businesses mistake their own incompetence for rejection by the young. Magazines, for instance, lost readers not because the young, despite having the ascetic focus required to pass a dreary accountancy exam, miraculously lost the

ability to read. Magazines faded because most of them deserved to; they were terribly dull.

Part of the overvaluation of the young, though presented as respectable business analysis, could be explained by the behaviour of seasoned executives. They don't want to be seen as making something for the old; they wish to be relevant to the young. The charm of the youth is also a force in how companies hire. Of course, the young bring a lot of vitality. And in the naturally gifted among them, their intuition is uncorrupted by experience. The less experienced one is, the more they trust their own gut. But then I don't think that is entirely the reason why they are hired—to create business revolutions. Their recruitment is cheap. And there is something else.

I am reminded of one of the worst cricket arguments—about the greatness of Sourav Ganguly as captain, that he brought young blood into the team. This was called a great leadership tactic. But, in my view, this is what happened: his performance was the weakest link among seniors and he wanted to fill the team with those who'd look up to him. For senior corporate managers, who must often jostle for survival, the young are safe hires. But they are presented as hope, as the future. Yet, it is them AI is replacing first. Because what AI can do very well right now is wing it.



Can a move abroad boost your career?

Callum Borchers

On a recent weeknight in Cambridge, Mass., about two dozen science and technology professionals munched hors d'oeuvres and digested a PowerPoint presentation. The topic: how they could restart their careers in Finland.

Americans who already have done this proselytized alongside a contingent from Work in Finland, a recruiting program launched by the Nordic country's Ministry of Economic Affairs and Employment. They touted subsidized health- and child-care, residence permits issued in just two weeks and Finland's long-running distinction as the happiest country in the world.

Finnish diplomat Jarmo Sareva cut to the core of the pitch in a video address. "For researchers and scientists who want to build globally impactful technologies and do this in a stable and forward-looking environment, Finland is really a serious option," he said.

"Stable" was the word of the night, carrying the not-so-subtle implication that the U.S. isn't. It resonated with attendees, some of whom had been to a similar event a few days earlier with representatives from Germany, France, Ireland, Italy, the Netherlands, Sweden and the U.K.

Living and working abroad has always been a popular fantasy. What's striking about the current vision of life abroad is how unsexy it is. Countries eager to poach American talent aren't so much promoting fine wines and swimsuit-optional beaches as they are selling normalcy.

Of course, for all the talk about leaving the U.S., most people never follow through. An international career move can involve accepting a lower salary, learning a new language and losing your professional network—realities that cause most people to balk.

But last year more people left the U.S. than moved in for the first time in nearly a century, according to an estimate by the



Brookings Institution. The public-policy think tank forecasts bigger out-migration this year, although the Trump administration's immigration crackdown is also playing a role.

Workers indulging the idea of relocating, especially those in STEM fields, say jobs in government, academia and even the private sector no longer feel secure amid a string of federal shutdowns and funding cuts. They view foreign lands as safer havens.

"When you see American executives frothing at the idea of AI taking huge swaths of employed labor away, and the government cutting social programs and pulling funding out of research that defined the United States on an international stage, it really makes you question: What will be left?" says artificial-intelli-

gence engineer Emilio Garcia.

Garcia, 30 years old, told me at the Work in Finland event that he was merely curious about moving to Europe. When we reconnected a couple of weeks later, he was starting the process of obtaining citizenship in Spain, where he could be fast-tracked because his grandparents were born there.

THE HOLDUP

For the moment, emigrating is Garcia's Plan B. He and his girlfriend, an academic researcher, concluded it was financially wiser to stay put unless their career prospects sour further. Though their out-of-pocket expenses would probably be lower overseas, the projected savings aren't enough to offset likely pay cuts and

higher taxes.

Uprooting feels all the more daunting with additional family members to consider. Keith Inman and his partner combined have five young-adult children from previous relationships, including three in college. He likes the idea of finishing his career in Switzerland or Slovenia, but the couple hesitates to move so far away before the kids are fully launched.

Inman, 64, works in drug and vaccine development. Mass layoffs at the Food and Drug Administration have contributed to interruptions in his industry at the same time that venture-capital firms are investing less in biotechnology. He worries about long-term consequences of clinical-trial delays and is drawn to countries that advertise state-sponsored research and development as a security blanket.

"The sad thing is I feel guilty about run-



ning away," he says.

Pharmaceutical project manager Tamara Restrepo came close to concluding there was no other choice. After a contract ended last fall, she struggled for six months to find a new position and considered moving to another country. She spent part of her childhood in Colombia and lived in Panama as a young adult.

Restrepo, 39, was exploring opportunities in Saudi Arabia when she landed another U.S. contract and suspended her international search.

"If in the next couple of years I see instability, and if I have trouble finding work again, that would push me to take the leap," she says.

THE PLUNGE

Terrell Metsovuori needs no further pushing. He is moving to Finland in May, despite not having a job there yet.

"Right now, with how everything is, it's the perfect time," he told me at the Work in Finland event. Like others he was careful to keep political comments oblique.

The 30-year-old sales professional has visited more than a dozen times already—often enough to meet, marry and take the

surname of a Finnish woman. He's not sweating the job search.

"I know I'll be OK, compared to here, some people are on the streets," Metsovuori said. "In Finland I don't think I've ever seen a homeless person sleeping outside."

Finland is widely recognized for dramatically reducing homelessness through social-welfare programs, though the Red Cross reported a recent uptick.

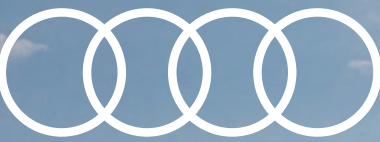
As speakers from the happiest place on Earth delivered their spiels, I sat next to a Finnish expat who has lived in the Boston area for a couple of years and came to hear her home country's pitch to Americans. I asked why she left.

Finland, she replied, is a little too stable. For certain go-getters, it is unexciting to know things will be fine whether you succeed or fail.

The risk-reward nature of working life in America is a magnet for many people. Some who have lived here their whole lives now think the balance is out of whack and are taking their job searches, or at least their daydreams, elsewhere.

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